Free how to trade price action manual

I wrote this 26,000 word **online price action manual** to show traders how to

trade and make money like a professional. I based it on the material in

the *Brooks Trading Course*, my books, and what I say every day in my Trading

Room. Below is the Table of Contents showing the titles of the 25 chapters in the *How to Trade Price Action Manual*. I included several chapters in their

entirety and excerpts from the others. **The complete manual is available to**

logged-in purchasers of the Brooks Trading Course.

Although I use mostly candle charts, I believe that context is more important

than candle patterns, whether I am day trading or swing trading. This is true for

the Emini, Forex markets, the stock market, and any other market. I make my

trading decisions based on where the market is in the market cycle. I decide if it

is in a trend or a trading range. If it is in a trend, I then decide if it is in a

channel or in a breakout. I then structure and manage my trades by using

appropriate protective stops and profit targets.

The book *Flash Boys* has received a lot of attention lately, but it has nothing to

do with day trading. We operate in a time frame of seconds to minutes, so

milliseconds are meaningless to our trading. However, financial institutions

dominate trading and most trading is controlled by computer algorithms. This

makes markets move closer and closer to perfection and it reduces the edge for

everyone, but there will always be traders who are better than others, and they

will consistently make money. Traders do not have to be great, but they do

have to be consistently good.

Even though I scalp many trades every day, swing trading should be the

foundation for every trader. A swing trade is simply any trade where the reward

is at least twice as large as the risk. Since 90% of the bars on any chart leave

traders confused, the probability most of the time for any trade, long or short,

is between 40 and 60%. That is why traders should swing trade…90% of the

time, going for a reward that is at least twice as big as the risk results in a

mathematically profitable strategy (a positive trader’s equation) for both the

bull and bear side of the trade.

Some traders are comfortable trading any market, but others prefer specific

types of market conditions. For example, I like high probability trades, which

means that I especially like to trade during strong breakouts. Other traders

prefer small risk; as a corollary, they must be taking trades with low probability.

This means that they need to go for a big reward to offset that low probability.

Many experienced traders believe that they are not good at picking exact tops

and bottoms, but they are good at knowing approximately where they are. They

then scale into trades, which increases their probability of making a profit from

their trades. However, whenever a trader does something to increase his

probability, he has to pay for it with either a smaller reward, an increased risk,

or both (a less favorable risk:reward ratio).

Many traders make most of their money in the first couple of hours of the day

and they look to swing trade opening reversals and trend breakouts. Although

similar moves occur in the final hours, they are much more difficult to trade

profitably since repeated reversals dominate the end of most days. It is okay to

not trade the final hour.

Entering with stop orders is the best choice for most traders because the

market is going your way, at least for one tick. During strong breakouts,

entering at the market or with limit orders on the close of bars is also trading in

the direction of market momentum, but is more difficult emotionally for traders

starting out. Experience traders will use limit orders to fade breakouts at the

tops and bottoms of trading ranges, and will often scale in and scalp. It takes

years of trading to do that well, and traders should focus on other entries until

they are consistently profitable.

Trade management is more important than picking buy and sell signals. Since

the probability of a profitable long or short trade is around 50% during 90% of

the day (the market is in a strong breakout during the other 10% of the time,

and the probability can be 70% or more during those brief times), there is a

way to structure a profitable long trade and a profitable short trade. Traders

simply chose whether they want to buy or sell and then figure out how to

manage the trade profitable. For example, when the market is in a trading

range, traders will buy low, sell high, and scalp. Bulls will scale into longs in the

lower half of the range and scalp out with profits in the top half. Bears will do

the opposite. They will scale into shorts in the top half and take profits in the

lower half.

When I hold positions overnight, I usually do so using put and call options.

Traders do not need to understand iron condors, broken wing put flies, or the

Greeks to make money from trading options. I use simple puts, calls, and

spreads, and I trade them just as I do stocks and futures. If I think the market

is going up, I buy a call or a call spread. If I think it is going down, I buy a put

or a put spread. Are other option strategies better? Sometimes, but as long as

what I do makes sense, I never worry about something else that might be

better. Traders should avoid “analysis paralysis” where they spend so much

time deciding on how to get the last penny out of the market that they end up

being too confused to place any trade and then don’t get any pennies!

Although I do not believe that a psychologist can help make a trader profitable,

trading psychology is important. Traders must constantly work to prevent their

emotions from influencing their decisions. One good way is to trade the “I don’t

care” size. Trade small enough so that you will not worry about losing. This

allows traders to do what is right more often. The most important aspect of

trading psychology is that traders should always strive to stay in their comfort

zone. They need to be happy. If a trader finds himself feeling too anxious, he

needs to find out why. Is he trading too big of a position and is constantly

worried about losing too much money? Is he buying in a bear trend, hoping that

the current reversal attempt will be the one that finally works? It is much less

stressful to trade in the direction that the market is going… the Always In

direction. It is also less stressful to take fewer trades and swing trade. Every

trader has the goal of making money for themselves and their families, but it is

important to not lose sight of the bigger goal of living a happy life. Learning how

to trade can help traders achieve both goals!

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Each chapter is a post in my blog and these articles provide the foundation for

trading using price action and are a good overview of the material in the Brooks

Trading Course. The course goes into far more depth and has many more examples. However, these articles give you an idea of how I view and trade the

markets.

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Price action and candlestick charts

April 23, 2014 By Al Brooks

Most successful traders use candlestick charts to make their

money, and they trade primarily or exclusively using price action. Although

there is no universally accepted definition of price action, I use the broadest one

and say that it is simply any move up or down on any chart for any market. The

smallest move that any market makes is one tick (one pip for the Forex

markets, although pips are now often subdivided into tenths, which most

traders ignore). If a market moves up one tick, it is because there are not

enough sellers at the current price to fill all of the buy orders, and the market

has to go higher to find more sellers. If it falls one tick, it means that it is in

search of a price low enough so that there will be enough buyers to take the

other side of the bears.

As a day trader, I don’t have the ability to spend time thinking about anything

other than whether the market will go up far enough for me to make a profit if I

buy, or fall far enough to make a profit if I short. I make several assumptions

that allow me to not worry about anything other than the price action on the

chart that I am trading. It is impossible for me to know if my assumptions are

true, but they are consistent with the price action, and if I later conclude that I

am wrong, I will then change my assumptions.

Although I watch and day trade a 5 minute candle chart during 99% of every

day and have for 27 years, I also make some trades based on the 60 minute,

daily, weekly, and monthly charts. I use options most of the time when I trade

those higher time frames, but I use the same price action techniques that I do

when I trade 5 minute charts.

The lure of candlestick chart patterns

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When you look at websites that offer advice on trading, they are filled with

candlestick patterns and all kinds of rules based on candles. However, when you

watch professional traders on television, you will notice something entirely

different…they virtually totally ignore candlestick patterns and often buy at the

bottom of a strong bear candle or candle pattern and sell at the top of a very

bullish candle pattern. Why is that? Because they want to make money. If

candlestick patterns were anywhere near as good as many trading websites

make them appear, they would quickly stop working because the institutional

would no longer take the other side of the trade. If a pattern is good for you,

then it is bad for the guy taking the other side, and institutions cannot stay in

business if they consistently lose. The only logical conclusion is that most of

what you read about candlestick patterns is nonsense because the institutions

control the market and they ignore all of what is on those helpful “Trading Made

Simple” candlestick websites.

Setups and Signals

There is a lot written about candle bar signals that might lead a reader to

believe that knowing a collection of candlestick patterns is 90% of what is

required to learn how to trade online. It is not. A setup is composed of two

things, a signal and context, and without both, you should not take a trade. By

context, I mean all of the bars to the left have to be supportive of your trade. A

perfect candle pattern in the middle of a tight trading range will consistently

lose money. You need other reasons for taking the trade, like the market being

at a confluence of support or resistance, and I discuss this in detail in the

course.

Thank you for reading my *How To Trade Price Action* manual.

The next article is [The market and the market cycle.]

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Market cycle

May 17, 2014 By [Al Brooks]

The Market Cycle. The green shaded areas are strong breakouts. Once there is

a pullback, the channel phase begins. Channels evolve into trading ranges,

which are pullbacks that have grown to include so many bars that the

probability of a trend reversal becomes as high as that for trend resumption

(the next breakout is about equally likely to be up or down).

When I say that there is a market cycle, I mean that the market is in a constant

search for a balance between buyers and sellers and that it has repeating

behavior in this never-ending search for a constantly moving price. It is trying

to stay around a price where both the bulls and bears feel that they can make

money by placing a trade. This also means it is looking for an area of confusion.

How else could both the bulls and bears feel that the price is good enough for

both them to make money by taking opposite trades?

The market constantly probes up and down as it tries to determine the fair price

area. Most of these rallies and selloffs fail and the market stays within the

range. Occasionally one leads to a breakout, which means that both the bulls

and bears are no longer confused…they agree that the price is too high in the

case of a bear breakout, or too low in a bull breakout. The market then quickly

moves to a new area of confusion, which is another trading range, where both

the bulls and bears feel that the price is about right.

The market is in a never ending cycle of trends and trading ranges. Trends

begin with a breakout. Once pullbacks begin, the trend converts from the trend

breakout phase to the trend channel phase. This is followed by increasing two-

sided trading and the evolution into a trading range. The seeds of the next

trend are planted in every trading range, and once you learn how to read

buying and selling pressure, you are in a position to anticipate the next

successful breakout. As soon as there is a breakout up or down, and the process

begins again.

Although many traders try to trade in the direction of a higher time frame, this

is not necessary. All a trader needs to trade profitably is the chart in front of

him, no matter what the market, chart type, or time frame. Every chart has

plenty of trades if a trader knows how to spot and trade them. Remember, even

when a market is sideways, there is often plenty of volume on every bar. Even

in the tightest trading range on the 5 minute Emini chart, each bar averages

about 5,000 contracts. I usually can see a reason to buy or sell on every bar on

every market during the day, and with practice, a trader will learn to spot many

more setups than he could possibly ever trade. The keys are:

• Learning to spot the setups early enough to decide that they are worth trading

• Structuring a trade that makes mathematical sense

• Managing the trade appropriately.

Ninety per cent of the time, the market is either in a channel or in a trading

range, and it is better to buy at support and sell at resistance. In a bull channel, support might be the bottom of the channel or just above a recent minor higher

low. During the other 10% of the time, the market is in a successful breakout

phase of a trend. When I say successful, I mean that as soon as you think the

breakout is successful, the chance of making a profitable trade by entering at

that moment in the direction of the breakout is 70% or higher. It is then better

to enter as soon as you believe the breakout is successful instead of waiting for

a pullback, which might not come for many bars. Since the stop is often far

away during a breakout, traders have to adjust their position sizes and their

profit targets. I will discuss how to trade all three phases in later sections of this

essay.

How to trade the market cycle…trade the three phases differently.

I said that the Market Cycle is the unending series of alternating trends and

trading ranges that are present on every chart. I will now discuss some of the

subtleties of the cycle. The strongest phase of a trend is the breakout. This has

the highest probability of follow-through (continuation) over the next many

bars, but because the protective stop is often far away, the risk is larger. Also,

the market is moving fast, which increases the chance of making mistakes and

therefore adds to the risk.

Once the market has a pullback, the trend weakens and enters the channel

phase. While in a channel, the trading becomes more two-sided. Both the bulls

and bears alternate control, although in a channel within a trend, one side is in

control more often. For example, in a bull channel, bears will begin to short

above new highs and scale in higher, looking for scalps.

The two-sided trading eventually increases as channels extend, and this causes

the pullbacks to get deeper and have more bars. Once a pullback has become

so big that the market loses its direction and traders are not certain that the

trend will resume, the pullback has become a trading range. Rarely, the channel

phase of a trend can accelerate and breakout again. For example, a bull channel

can sometimes have a successful bull breakout. This is a breakout above the

top of a rising channel, which means that the trend suddenly has become

steeper and stronger. After the breakout, the market then slows into a channel

again and eventually into a trading range. However, most attempts to break

above a bull channel fail and then the market reverses back down to test the

bottom of the channel. Likewise, most downside (bear) breakouts below bear

channels fail and the market usually reverses back up to the top of the bear

channel.

Even though a channel as it is forming is part of a trend, it is almost always the

start of a trading range. Because most are usually eventually followed by a leg

in the opposite direction, every bull channel should be thought of as a bear flag

and every bear channel should be seen as a bull flag. Once the reversal down

from a bull channel or up from a bear channel is clear, the trading range has

begun. The market then usually tries to retrace to the beginning of the channel.

Why does this retracement happen? Let’s use a bull channel as an example.

Bears begin to scale into shorts after the first pullback begins and they add on

higher, for example, at each new high. Once the market starts down, many

bears try to exit their entire position around their first entry, which is the

bottom of the channel (the first pullback). They then get out breakeven on that

first entry and with profits on their later entries. Because the bears are buying

at the bottom of the channel (instead of selling, which bears are usually looking

to do), there is a relative absence of sellers. Also, bulls remember that the

market started up from the bottom of that first pullback after the breakout (the

bottom of that first pullback is the start of the bull channel). Now that the

market is back down to that level, many bulls will buy again, expecting another

rally from that price level. They are expecting a double bottom. The first bottom

of the double bottom is the low of that first pullback from the initial bull

breakout. The market was rallying strongly in a bull breakout and then had a

pullback. The market then resumed up. The bottom of that pullback is the first

bottom of the double bottom. The second bottom is the selloff back down to

that level…the bulls are expecting a bottom again from this same price because

that is what the market did when it traded down to this level earlier.

Bears will short again where they last entered profitable shorts, which was at

the top of the channel. Bulls expect that the market has entered a trading range

and will begin to scalp out of longs at the top of the range. Both the bulls and

bears switch to scalp mode, buying low and selling high. Bears sell high to

initiate shorts and scale in higher while bulls sell high to take profits. The

opposite occurs at the bottom of the range. Eventually there is a breakout in

either direction and the process begins again.

This 5 minute chart of a Forex market summarizes how to trade different parts

of the market cycle.

Trends are strongest during breakouts, and the appearance of each bar tends to

be consistent with the trend. In a bull trend, there is an abundance of strong

bull bars, which means that the buying pressure is strong. In a bear trend,

selling pressure is strong. My comprehensive lists of signs of buying and selling

pressure are too long for this article, but are covered in my videos and books.

However, the figure below shows an example of a strong bull breakout and it

illustrates many important signs of buying pressure.

Buying Pressure and Selling Pressure

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However, the figure below shows an example of a strong bull breakout and it

illustrates many important signs of buying pressure.

Buying Pressure and Gaps. A gap is a space between a support and resistance

level. Each red rectangle is a gap between the close of a bar and the high of one

or more prior bars. Each green rectangle is a gap between the low of a bar and

the high of a prior bar, and these gaps often lead to measured moves (these

bars are therefore potential measuring gaps). Other signs of buying pressure

are consecutive bull trend bars, bull trend bars closing above their midpoints

and especially near the tops of the bars, big bull trend bars, the absence of

consecutive big bear trend bars, breakouts above prior lower highs within the

prior bear trend, and closes above those highs and any other resistance level,

like the high of the prior bar, moving averages, and trend lines.

The most obvious sign of buying pressure is a bull trend bar, where the bar

closes near its high. It is even stronger if it opens on its low because this is a

sign of urgency…the bulls were so eager to buy, that they were unwilling to wait

for even a small pullback and bought as soon as the bar opened. The bar

closing on or near its high means that bulls bought right up to the top of the

bar. If they are willing to buy high, they almost certainly will buy a little lower,

which means that even the smallest pullbacks will be bought. If the bull trend

bar is bigger than an average bar, that is another sign of buying pressure. If

there are two or three strong bull bars, this is even a stronger breakout,

especially if the bars are consecutive (sometimes there will be a series of

several strong bars with an occasional small bar in between). If the close of the

current bar is above the high of the prior bar, this is a gap and a sign of buying

pressure.

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Traders will pay attention to the low of the next bar to see if its low stays above the high of the bar two bars earlier. If so, the gap bar can be a measuring gap

and lead to a measured move up. If the close of a trend bar is above some

other resistance, like a bear trend line, a moving average, of the top of a

trading range, this is more buying pressure, especially if the next bar (the bar

after a breakout bar is the follow-through bar) also has a bull close. This

increases the chances that higher prices will follow, even if there is a pullback in

the meantime.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Math that every trader must know.

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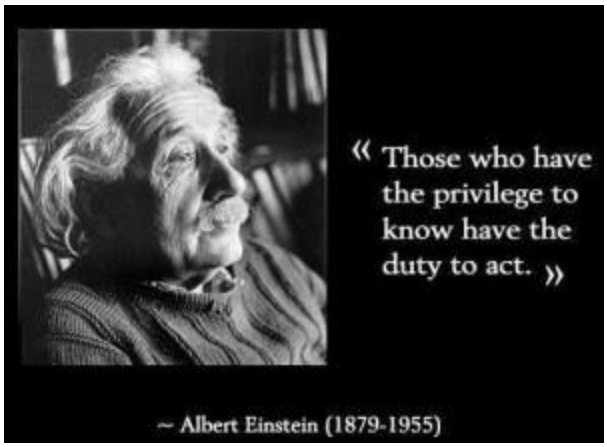

Trader’s equation

May 17, 2014 By Al Brooks

Math that every trader should know

Risk and reward are important, but traders who know how to make money also

pay a lot of attention to probability. Consider taking a trade only if the **trader’s**

equation makes sense:

Reward x Probability of profit > Risk x Probability of Loss

Reward = your expected profit (number of ticks from entry price to profit

target)

Risk = your expected loss if your protective stop is hit (number of ticks to your

stop)

All profitable traders, whether institutions

or individuals, will only buy if they believe that probability of making a profit is

significantly greater than the probability of losing money on a trade. This is the

Trader’s Equation: for a trade to be profitable, the probability of making a profit

times the size of the profit (the reward, which is the number of ticks to the

profit taking limit order) has to be greater than the probability of losing times

the size of the loss (the risk, which is the number of ticks to the protective

stop). The risk and reward are known because the trader sets them…he decides

where he will take his profit (his reward) and where he will take his loss (his

risk).

The third variable is the one that causes the greatest problem for most traders

starting out. They quickly discover that all of those books and courses that

make trading look so easy hinge on a fallacy…that there are a lot of perfect

trades where the probability is high and the reward is much bigger than the

risk. If you think about it, perfect or nearly perfect trades cannot exit because

every trade needs institutions on both sides. If a trade is perfectly good for the

buyer, it has to be perfectly bad for the seller, which means taking a low

probability of winning where the risk is much bigger than the reward. No

institution would ever take the other side of a perfect trade because it would

lose money over time even if it occasionally won (and it would because it has a

chance of winning on every trade, even though the probability is low). The

result is that no trade can be perfect. There has to be something in the trade for

both the buying and selling institutions, and I assume that the majority of them

are profitable.

High and low probability setups. Usually, one side has better probability and the

other has a better risk/reward ration. When the probability is high, the profit

potential is small compared to the risk and the trade is often just a scalp.

Swings have either low probability, or big risk relative (the stop is far away) to

the reward.

How can it happen that traders taking opposite sides of a trade can both make

money? It comes down to trade-offs among the three variables in the trader’s

equation: risk, reward, and probability. You often hear about risk reward ratios,

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but whenever your do, the author is implying that the probability is high, which

may or may not be the case. Some trades are very high probability. For

example, think about a trade where the market races up to your profit taking

limit order, but does not fill it, and then pulls back one tick. At this moment,

you almost certainly will not change your order and will hold because you

correctly believe that the strong momentum will result in you getting filled

within the next few seconds. What you have concluded is that you have a very

high probability trade. That means that you had to give up something on one or

both of the other variables because otherwise you would have a perfect trade,

which cannot exist.

What are you giving up with that high probability trade? Well, your reward is

now only one tick, since you are trying to take profits one tick higher than the

current price. This means that in exchange for your high probability, you are

forgoing a big profit and in fact are willing to take only a minuscule profit. You

are accepting a very small reward. Furthermore, you probably are relying on

your stop, at least for the next several seconds, and your stop is probably many

ticks away. Let’s say that it is six ticks below the current price. This means that

you are willing to assume a risk that is six times greater than your reward in

exchange for a very high probability. You need to be about 90% confident for

the Trader’s Equation to be worthwhile. Traders never actually have enough

time to debate whether the probability actually is 90% at that instant, but just

feel that it is worth relying on the current stop and profit taking orders for a

least a few more seconds. Although it is not conscious, they actually have to

believe that they have a 90% chance of success to make this decision because

that is the only rational basis for holding the position. Does this make sense? Of

course, it does, and it is a decision that all of us make whenever the market

gets very close to filling our profit objective.

Is a good Risk/Reward ratio enough?

No! You also have to incorporate probability into the Trader's Equation: for a

strategy to be profitable, the probability of success times the reward has to be

significantly greater than the probability of failure times the risk. Probability is

by far the most important variable and the major source of losses in trading.

The implication behind candlestick pattern trading is that your primary objective is to minimize risk, and that is a fallacy. If you are taking a trade, you need to

accept the risk that is there and appropriately manage it, as well as your

position size, your protective stop, and your profit target.

Understanding Probability

Risk is just one component of trading, and it is less important than probability.

You can control risk simply by using a stop, just as you can control reward by

selecting a logical price objective for profit taking. Although you cannot control

probability, you can make sensible assumptions based on my **“40 – 60”**

trading rule…90% of the time, the probability is between 40 and 60%. The

probability of what? The probability that the market will rally 10 ticks before it

falls 10 ticks. Twenty ticks, 17 points, 1%… it does not matter. Ninety percent

of the time, the chance that the market will move a certain distance in one

direction before it moves that same distance in the other direction is between

40 and 60%.This is based on the market cycle… the market is in a strong

breakout 10% of the time and in either a channel or trading range during the

other 90% of the time. The 40 – 60 rule is based on that 90%.

It has to be that way because there are institutions on both sides of every

trade. Neither side will ever allow the probability to become very certain without

a great increase in risk, or else there would be no one to take the other side of

the trade. The market is in a strong breakout during the other 10% of the time,

and the probability of a trade in the direction of the trend often becomes 70%

or higher…but the stop is often far away, increasing the risk!

So, given the uncertainty that exists 90% of the time, how can anyone make

money? Remember, the Trader’s Equation. If the market is clearly breaking out,

trading is easy because you only trade in the direction of the strong breakout.

During the rest of the time, the 60-40 rule applies. Well, here is the key to

success…

As long as you always go for a reward that is at least twice as big as

your risk, you will have a positive Trader’s Equation and your trade is

mathematically sensible.

As you learn how to trade, you will discover that there is always a trade-off

among the three variables. If the probability is high, then either the reward is

small (like in a scalp) or the risk is big (like in a breakout). As discussed earlier,

there cannot be a trade with a high probability of a big reward and a small risk

because no institution would take the other side of your trade. Every trade

requires a very smart institutional trader to take the opposite side of your trade,

and he will only do so if he feels that at least one of the variables is in his favor.

He won’t give you all three. When you take a trade, you either get one or two

variables in your favor; you never get all three.

As long as the Trader’s Equation is positive, it does not matter if only one

variable is the way you want it to be. For example, in a scalp, the probability is

high, and the reward is small relative to risk (so the reward is less than you

want and the risk is more than you want for a reward that size). Whenever

someone tells you that he has a very high winning percentage, he is also telling

you that he is a scalper (when talking about daily charts, he is called a trader or

a fast money trader). He is going for a reward that is relatively small compared

to his risk (often smaller than his risk) and winning 70 – 90% of the time.

Traders on the opposite side of his trades are swing traders (or investors, when

talking about weekly and monthly charts), taking lower probability trades

(usually winning 30 – 40% of the time), but their winners are often many times

bigger than their losers. They often trade Major Trend Reversals, where the risk

can be small and the reward big, but the probability is often only 40%.

I often hear traders talk about the risk/reward ratio, but they do not mention

probability. When someone says that a trade has a good risk/reward ratio, he is

usually implying that the probability of success is at least 50%. Sometimes,

however, he will mention on probability.

For example, I recently heard a trader on television say that he was taking a

“put fly” trade and that the payout ratio was 5:1 (I know that this is jargon, but

it is not necessary to understand the details to be able to understand the point

that I am making about probability). Another trader commented that it was a

low probability bet. They were indirectly discussing the Trader’s Equation…both

knew that when the reward is much bigger than the risk (the reward was 5

times greater than the risk), the probability of success is very small. You will

lose money most of the time. Some traders don’t mind that, as long as the

dollars won on a basket of such trades is greater than those lost, then this style

of trading is profitable and therefore reasonable. Others understand that this

logic is more theoretical than practical, and most traders will not be profitable if

they trade very low probability trades because the margin for error is so small.

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You have to execute and manage perfectly to do well because if you take ten

such trades and mess up on one of the winners, you will lose money on the

basket of ten trades.

As traders, we swim in a sea of uncertainty, and until you can free yourself from

emotion, it is impossible to follow what the institutional computers are doing,

and you can only make money if you do. When you decide to take a trade, be

honest about just how far away your stop has to be, which often creates a

greater risk than you want. You have to trade a small enough position size so

that you really don’t care very much if you win or lose…the “I don’t care” size.

This gives you the best chance at remaining objective when you enter and exit

your trade.

Zero sum game… not really

Traders early on learn that it is difficult to make money and that the edge is

small. They then naturally think of ways to increase their edge. An obvious one

is to use a lot of indicators, like the ones they see in all of the ads on line and in

the magazines.

If trading is moving toward perfection, how can anyone make money? Simple.

We live in a competitive world and some will always be better than others and

will always make money. Better traders will always have an edge, which is a

mathematical advantage, and they will make more than everyone else. What

about the argument that trading is a zero sum game and therefore no one can

ever really make money long term? Over the next day or two, trading is

essentially a zero sum game. However, the world economy has been growing at

about 3% a year forever, and this means that there is ten times more money in

the world today than in 1987, and 100 times more than in 1927. The pie will

always grow, so everyone can have a piece, and the better traders will always

have the biggest pieces.

Thank you for reading my *How To Trade Price Action* manual.

The next article in the manual is The importance of institutions.

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Importance of institutional trading

April 24, 2014 By Al Brooks

I always assume that in every major market, no trade can take place unless

there is at least one institution willing to take the buy side and another

institution willing to take the sell side. I also assume that both know how to

make money, which means that there is almost always a way to make money

by buying or selling at any instant. Institutional trading dominate all major

markets and individual traders are simply not big enough to have any effect.

Although a trader might believe that his order moved the market, that belief is

almost always deluded. The market moved only because one or more bearish

institutions and one or more bullish institutions wanted it to make the move,

even though time and sales might show that your order was the only one filled

at that price.

This is especially true of stocks where many

institutions trade huge blocks of stock in dark pools, where they can trade

among themselves out of site of the exchanges. However, they will quickly take

trades in the exchanges if the price on the exchange moves even a little bit

from where it is in the dark pool. Just because there is very little volume on

time and sales does not mean that the volume is low…it still can be huge, and it

will quickly become visible if the price that you see deviates from the price that

they are trading among themselves in their dark pools.

Moreover, traders should also accept that 75% or more of all trading is being

done by computers. The math is too perfect and the speed if often too fast for

anything else to be true, although I do not have space in these articles to

explain the mathematical evidence for this conclusion. I will say that every tick

is important, especially in huge markets like the Emini, and if you spend a lot of time studying the market, you can see a reason for every tick that takes place

during the day.

In fact, you can see a reasonable trade to consider on every bar during the day.

What about all of those one lot orders in the Emini or the 100 share orders in

AAPL? I believe that the majority of them are being placed by computers

conducting various forms of computerized trading (including high frequency

trading), and it often involves scaling in or out of trades and hedging against

positions in related markets. Just think about it…there are some firms are

placing millions of orders a day across many markets. Scaling into a trade

means to enter more than once, either at a better or worse price, and scaling

out means to exit the trade in pieces. They are taking a casino approach,

making a big number of small trades, each with a small edge, and this can

result in tens or even hundreds of millions of dollars in profits each year.

I said that there always has to be an institution taking the opposite side of

every trade, and that the institution has to have a positive Trader’s Equation,

and that is true. However, it is not as simple as saying that the instant your

trade pulled back one tick, an institution shorted with the intention of doing the

exact opposite of you, risking one tick to a protective buy stop at the same

price as your profit taking sell limit order above, and using a profit taking buy

limit order six ticks below at your protective sell stop. If such a theoretical

institution existed, it would be giving up probability (it is taking a low probability

bet, since that is the opposite of your high probability bet) to attain a high profit

relative to the size of its risk, which can make sense if the three variables are

the right size.

Although I talk about “at least one institution,” I think of the opposite side as

being made up of a pool of institutions, all of which have tested algorithms and

concluded that their combination of risk, reward, and probability has a profitable

Trader’s Equation. Some of those bears want high probability, which means that

their reward will be small compare to their risk. For example, they might short

and sell more higher (scaling into their trade). When done correctly, this results in a high probability of a small profit, but the risk can get large if the trader

builds a big position and has a stop that is far away. A different bear might take

the opposite side of your trade (it would buy where you are selling out for a

profit) by structuring a trade that favors reward at the expense of risk and

probability. It does not matter.

However, it is very important to be comfortable believing that at every instant,

there is a way to structure both a long and a short trade that have positive

Trader’s Equations. This is true even in the strongest trends. It is important to

accept this because it frees you from only considering one direction and forces

you to remember that you are trading in a market where both the bulls and

bears make money. This means that it is possible to either buy or sell at any

instant and make money…if you structure the trade correctly. You also have to

take enough trades; you can even lose on most of your trades if your winners

are big enough since they will more than offset your frequent losers.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Price action is genetically based.

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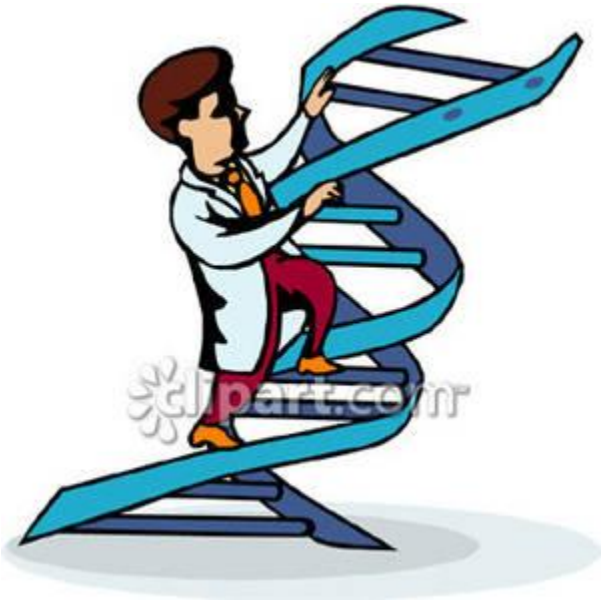

Price action is genetically based

April 24, 2014 By Al Brooks

Charts-are-the-same-as-100-years-ago

Now that computers dominate trading and markets

are international, a common topic is whether the behavior of markets has

changed. The movement on charts is called price action and it is a reflection of

human behavior. Like all behavior, it is genetically based. People have always

wanted to make money and we all do it by trading all day long. For example,

when you go to the store, you trade money to get an apple.

I have looked at charts going back 100 years and I have traded since 1987. If I

remove the labels from the charts, I cannot tell if the chart is from 1910 or

2010, and I cannot tell if the chart is a 5 minute Forex chart or a monthly chart

of the Dow Jones Industrial Average. How can computers not have affected the

price action? It clearly has some effect, but I believe that algorithms simply look

for logical patterns and then structure trades where there is a mathematical

edge. That is exactly what all traders have done in all markets since the

beginning of time. Trading has always been part of civilization and crucial to

survival. This means that the more fit traders have an advantage and that their

genes have been naturally selected over those of incompetent traders for tens

of thousands of years. The result is that trading is genetically based, and

computers simply move trading closer to perfection. This is why the charts are

the same as they were 100 years ago and why the charts of all markets and all

time frames look the same and always will. All price action is genetically based,

even if the trading is done by computer. A very experienced price action trader

can understand what the market is doing during every tick during the day.

Dow Jones Industrial Average, weekly chart, during the Great Depression. Price

action trading will always work because it is based on genetics and logical

behavior. Without labels, it is impossible to know that this chart is from 80

years ago.

Charts are the same in all markets and time frames

For example, look at the three charts below. I hid the time and price axes to

illustrate this point. Can you tell which is a gold futures chart, a EURUSD Forex

foreign exchange chart, and a chart of GE? Also, which is a daily chart during

the 1987 stock market crash, a 1 minute chart, and a 5 minute chart?

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Price action trading works on all markets and time frames. Which is the daily chart, the 1 minute chart, and the 5 minute chart, and which is a stock, a

commodity, and a currency? (answer: the figure on the left is a daily chart of

GE during the 1987 crash, the middle is a 1 minute EURUSD Forex chart, and

the one on the right is a 5 minute Gold futures chart.)

Many traders cannot watch the market all day long and instead trade using 60

minute or daily charts. Although most of the examples in my course involve 5

minute charts, there are many that use daily, weekly, and monthly charts as

well. For example, look at Module 43, which I have posted on the site in its entirety for free. There is a detailed example of how to trade a price action

trade in the weekly Forex foreign exchange market.

Price action traders believe that markets are fractal. This means that bigger

patterns are composed of a collection of smaller patterns, and no matter how

tiny a chart you examine, you will still see the same patterns that you see on

monthly charts. If you look a chart like the ones above where there is no price

axis on the right and no time axis below, you would not be able to tell if it was a

5 minute, 60 minute, daily, weekly, or monthly chart, or a chart made of 1,000

ticks or 50,000 shares. Why is that? Because charts simply represent human

behavior, which is genetically based, and a higher time frame chart is just a

bigger collection of behavior.

Most price action traders trade all charts the same way (obviously adjusting

position size, risk, and reward, based on their usual maximum risk for any

trade), and you probably will as well after you learn how to trade. You see this

on television all the time…an expert will show daily, weekly, and monthly charts

and use the same words to describe them. He looks for trends, trading ranges,

support, and resistance, and does not care what the time frame is. When I

trade the 60 minute chart or a daily chart, I use the exact same analysis that I

use on a 5 minute chart. However, when I hold trades for days to weeks at a

time, it is usually in the form of options because I want to contain my risk.

With High Frequency Trading firms getting so much press because some are

incredibly profitable, there is a tendency among traders to move toward smaller

and smaller time frame charts. I have noticed that there are several people

promoting these charts as a way for traders to make money. I strongly believe

that most traders will only lose and never win long-term if they use very small

time frames. I address the reasons in the course, but the most fundamental one

is that these charts do not give traders enough time to think clearly and they

end up making too many mistakes. A 5 minute chart is a good place to start,

and I recommend avoiding any chart where there are more than 20 bars per

hour.

Seasonal tendencies

There are some seasonal tendencies that can be shown statistically. I

sometimes bring them up in the trading room at the appropriate time of the year. For example, during January, there is a tradition on Wall St. to find

significance in what happens early in the year. Traders like to think of January

as a barometer and look for statistics about whether the new year will be an up

or down year based on what happens in January. Although the statistics are

valid, they do not help in structuring trades.

Here is my list of January observations:

On average, every year has a 67% chance of closing above where it opened and

only 33% chance of being down.

If the 1st 5 days of January are up, January is up 76% of the time. However, all

months are up 65% of the time, so this is only a small improvement. If it has a

head start, it makes sense that the odds for the entire year being up are better.

If the first 5 days are negative, Jan is down 60% of the time, instead of only

35%.

If January is up, the year is up 82% of the time, and the average gain from

February to December is 8.5%. This makes sense since the year has a 67% of

being up anyway, and this is another example of a head start increasing the

odds for the entire year.

If January is down, the average gain from February to December is only 1.7%,

and the year has a 58% chance of being down, instead of the usual 33%.

Here are some other calendar observations:

“Sell in May and go away” is an adage that is still reliable. The stock market

makes most of its gains from October through April.

There is tendency to get a rally at the 4th of July, which might be more due to

the end of the 2nd quarter. The period between June 26 and July 6 has a rally

75% of the time, and the best is June 30 to July 5.

September is weakest month for bonds and S&P. However, on average, the it is

only 1% worse than other months, and that 1% can come in a single day. That

means that most of the days are like those during the res of the year.

The market tends to rally around Labor day, especially from August 30 to

September 5.

October sometimes has big down moves like in 1929 and 1987. However, it

usually closes strong, even if there is a sharp selloff. The close on November 5

is above the close of October 26 about 95% of the time. This is in part because

it is the end of the year for mutual funds and the funds buy stocks to make their

portfolios look good. This is called window dressing. Fund managers want to

make sure that the quarterly reports show that the funds owned all of the best

stocks at the end of the quarter. This gives them plausible deniability so that

when someone criticizes their bad performance, they can claim that they had

the right stocks, but random fluctuations created their bad performance.

The adage “Thanksgiving is owned by the bears and Christmas by the bulls” is

not reliable at all.

In election years, even only congressional elections, most of the gains occur in

the final 12 weeks, starting in mid-September, and most of the year is usually a

trading range.

The Dogs of the Dow theory says that traders should buy last year’s worst Dow

30 stocks because they will catch up to the great performers this year. This is

not reliable, and you get what you pay for. If you are paying little, buying a

beaten down stock, you are getting little.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Bar counting.

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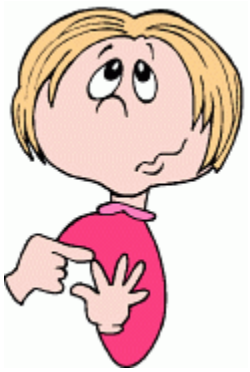


Bar counting

May 10, 2014 By Al Brooks

In a bull breakout, once the low of a bar falls below the low of

the prior bar, that dip is a pullback. All traders want to make money. Successful

traders know that one good way in a strong bull trend is to place a stop order to

buy above the high of that bar. That bar is called a high 1 signal bar. If the

market then goes above the bar, but pulls back again, it is forming a second leg

in the pullback. The low of this second leg might even fall below the low of the

first leg. Whether it does or not, bulls will place a buy stop order above the high

of this new pullback. If their order is filled, that pullback bar was a high 2 signal

bar (high 2 because it was the second small leg of the pullback in the bull

trend). If the market does not go above the high 2 signal bar and continues

down, the bulls will keep lowering their buy order to one tick above the high of

the prior bar.

This is a big high 2 buy setup after a strong bull breakout. It is also a double

bottom higher low major trend reversal (all double bottoms are high 2 buy

setups).

Sometimes the market will have a third leg down, forming a high 3 buy setup,

which is usually a wedge bull flag. Corrections can even get more complex. For

example, the market might trigger a high 2 or high 3 buy entry, rally for a few

bars, but then break below the bottom of the bull flag. This breakout often has

two or three legs down and often falls for a measured move down and then

forms a new high 2 or high 3 buy setup-. On a higher timeframe chart (if the

trader was looking at a 5 minute chart, a higher timeframe might be a 15 or 60

minute chart), the first bottom attempt might a high 1 setup and the second

might then be a high 2 buy setup.

Some traders will look at this as a pair of high 2 buy setups where the first one

failed and the count began again, and others will call it a high 4 (it is a zig zag

in Elliott Wave language).

If there is a bear bar on the 5 minute chart, but it does not fall below the low of

the prior bar, and then there is a bull bar, and then another bear bar, this is

also a high 2 buy setup. If a trader looked at a smaller timeframe chart (like a 1

minute chart), he would see that bars actually fell below the low of the prior

bar. This is a legitimate high 2 buy setup on the 5 minute chart.

The counts are frequently not clear, but that does not matter. Never lose sight

of the goal…traders see a bull trend and are looking to buy as a pullback is

ending and the trend is resuming. When a trader cannot tell if the market is

forming a high 1, 2, 3, or 4, but sees a good bull signal bar, he will simply buy

one tick above the high of that bar and not worry about the exact count.

This is all true in bull trends and in bull legs in trading ranges, and at the

bottom of trading ranges where traders often look to buy a small double bottom

(all double bottoms are high 2 buy setups).

The opposite is true in a bear trend. Traders will look to short below low 1, 2, 3,

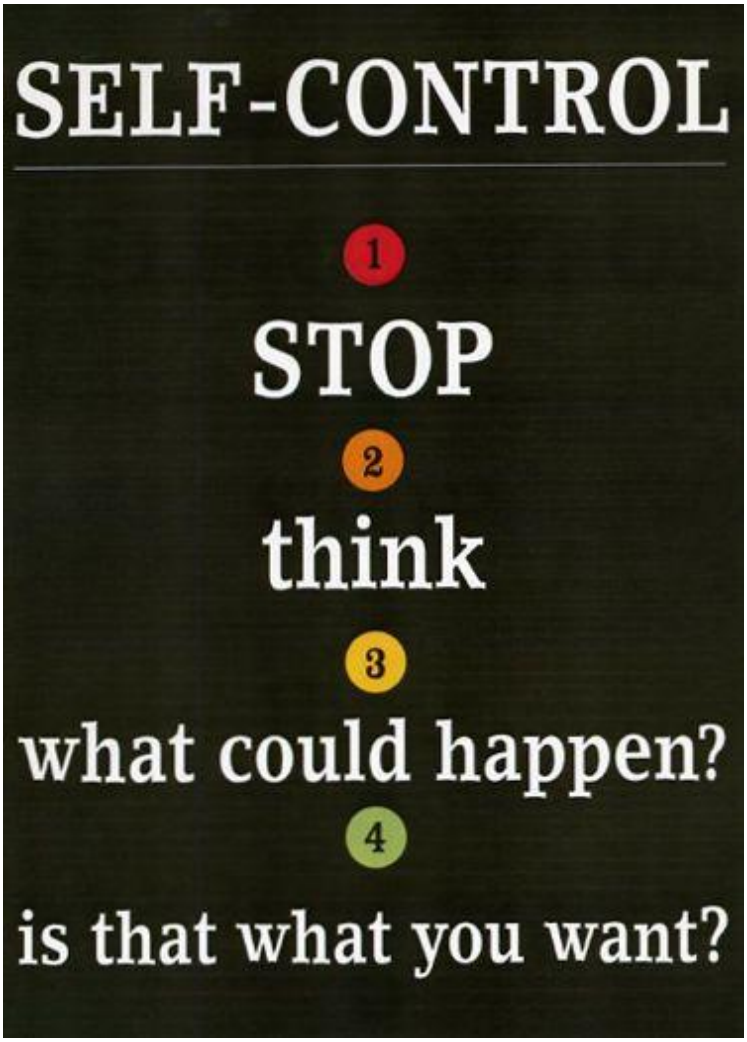
or 4 signal bars.

Any pattern with 3 pushes is a wedge. A wedge top or bear flag is a low 3 sell

setup and a wedge bottom or bull flag is a high 3 buy setup.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Extreme scalping = manual high frequency trading.



Extreme scalping and manual high frequency

trading (HFT)

May 17, 2014 By Al Brooks

Reductio ad absurdum

“If I can make more money on the 5 minute than on

the daily chart, I surely can make much more on the 1 minute chart.” This

ignores the practical limitations of the human brain… we are not computers, and

we have real time limits for our ability to process information and make

decisions accurately. If we do not have enough time, we are more likely to

make bad decisions. For most traders, they should be trading charts that have

no more than 20 bars per hour. Most should trade a 5 minute chart or even a

higher time frame. What looks obvious on a printed chart after the close, when

you can see all of the bars to the right of your signal bar, is usually not obvious

real time. Also, a bar often looks far different in the second that it closes than it

did even one second earlier. This means that a trader has much less time that

what he might believe when he looks at a chart at the end of the day.

I see setups to either buy or sell or either on almost every bar during every

day. Although I could take most of the traders, I do not because taking 40 or

more scalps a day is draining and not fun, and at this stage in my life, I much

rather take setups that are fun as well as profitable.

Should you enter or exit on every bar as you day trade futures, foreign

exchange, or the stock market online? Obviously not, but be aware that there

are trading opportunities at every second of the day, not just when a certain

pattern is present. If you understand the market cycle, what the market is

doing at the moment, and how to structure and manage trades, you are in a

position to make a profitable trade at any time of the day.

You do not need to take every trade, but each green arrow is a reasonable buy

entry and each red arrow is a good short. Virtually no one should trade every

trade because it is too draining to do consistently for years. However, if a trader

is flat and looking to enter, if he understands price action, he usually does not

have to wait for more than a bar or two before he finds a setup that allows him

to structure a trade with a positive trader's equation.

"If I can make money when scalping for 20 ticks, I can make even more if I

take far more trades, scalping for 1 – 3 ticks!" This is another fallacy that I see

promoted on different websites and it is an example of theory colliding with

reality. Not only is there the problem of our inability to process information

accurately when we have to decide too quickly, there are the additional problem

of overhead…slippage, spreads, and commissions. Most traders cannot trade

Eminis for less than about $5 round turn commissions. If they scalp for one

point, their net profit is $45 when they win and their net loss is $55 when they

lose. If they scalp for one tick, then they make $7.50 on their winners and lose

$17.50 on their losers. They usually have to buy at the bid and sell at the offer,

which means that they have to give up one tick when they enter and another

when they exit. This means that the market has to move three ticks for them to

make one. They almost always have to risk at least two to four ticks. Let’s say a trader is trading the 5 minute char and he risks an average of three ticks, which

is $37.50. So, he needs the market to move three ticks in his direction before it

moves three ticks against him. When he is right, he will net $7.50, assuming

there is no slippage and he never makes mistakes. When he is wrong, he will

lose $37.50, or 5 times more. To breakeven, he has to be right 80% of the

time. To make a profit, he has to be right 90 – 95% of the time. And that is not

just on the next three trades for the next three days. It is for the rest of his

career. Yes, this is theoretically possible, and Paul Rotter supposedly made

millions scalping for three ticks in the Forex, but it is so difficult and unrealistic

that traders should never even try.

So, if a three tick goal is too small, what is reasonable? It varies with every

market, but traders can quickly figure it out by looking at the price action.

When looking for stop entry setups, if there are a lot of 6 tick moves in the

Emini, then a lot of traders and computers are scalping for 4 ticks (if they enter

on a stop one tick beyond the signal bar, the market usually has to move 5

more ticks for a limit order to be filled four ticks from the entry price). If there

are a lot of 22 cent moves on crude oil, many are scalping for 20 cents. If there

are a lot of 12 pip moves in the EURUD, then traders are scalping for 10 pips. If

a trader is looking at limit order sets, everything will be 1 tick less. For

example, if there are a lot of 9 tick moves in the Emini, then many traders are

scalping for two points (8 ticks).

Since scalping is extremely difficult to do profitably long term, most traders

should look for trades where the reward is at least twice as big as the risk. If a

trader thinks that he needs a 20 pip stop in the EURJPY, he should plan to hold

for a 40 pip profit. During strong breakouts, the momentum is very strong,

which means that the probability of follow through is high. In these cases, the

probability of a profitable trade is 60% or more, which means that it is

mathematically reasonable to scalp for a reward that is the same as the risk,

instead of two times bigger. If he risks $2 in a gold breakout, he can exit with a

$2 profit and still have a mathematically sensible trade. There is a little more to

this because the initial risk is not the same as the actual risk, and the profit

target usually should be based on the actual risk. If a trader initially risks 50

pips in a EURUSD trade and the market went against him for 12 pips and then

quickly went his way, he now knows that he actually had to risk only 13 pips to

avoid being stopped out. This means that his actual risk was only 13 pips, not

50 pips. All of the computers can detect this and many will then adjust their

profit target based on this actual risk. This means that many will take partial

profits at 13 ticks, where you will often see a small pullback from the profit

taking.

Why did I choose a reward that is two times the risk for most trades? This is

because most traders are never very confident about their assessment of the

probability when they enter a trade. Remember, there has to be something in it

for the institution taking the opposite side of your trade…he has to be able to

make a profit if he structures his trade correctly (which often means he will

scale in). He thinks his side is good and you think that yours is good. The result

is that we trade in a gray fog and nothing is ever very clear. However, at almost

every instant in every market, the probability that the next 5 ticks will be up

rather than down is between 40 and 60%. This means that if you buy or sell at

any time and hold for a reward that is about the same size as your risk (you

really should try for a reward that is twice as big), you will have at least a 40%

chance of success. If you plug 40% into the Trader’s Equation, you will see that

you will need to hold for a reward that it at least twice as big as your risk to

make a reasonable profit over time. Bottom line…you are always going to be

uncertain when you enter, but if you always try for a reward that his twice as

big as your risk, the math is on your side.

Also, whenever you have a profit that is twice as big as your risk, you can

always exit. The math always is good enough for this approach to be profitable

over time. If the trend is strong, the math is in your favor if you hold for a

bigger profit, but it is always mathematically reasonable to exit part or all of any

trade once the profit is twice the risk. Also, if the trade is a high probability

trade (60% or more), it is mathematically reasonable to exit part or all of the

position once the profit gets as large as the risk (you can plug the numbers into

the Trader’s Equation to verify this).

Thank you for reading my *How To Trade Price Action* manual.

The next article is The folly of trading with fundamentals.

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The folly of trading fundamentals

May 17, 2014 By Al Brooks

So, who uses fundamental information when

trading? It only can benefit investors, who hold positions for months at a time.

Although you often hear traders on television mention fundamentals when they

place trades lasting for a few days, they do not realize that they erroneously

believe that the fundamentals improve their profitability. The fundamentals do

not help traders make money, but traders often mention them because of

tradition on Wall Street. They are afraid that their peers might respect them

less for being purely technical traders. To me, this is foolish, just as it is foolish

to be ashamed to be a day trader. When people ask me what I do for a living, I

look at them straight in the eye and tell them I am a day trader, and my

confident stare dares them to say something disrespectful.

Technical trading was disparaged for generations and is slowly being accepted

as a very profitable way to trade. Most High Frequency Trading (HFT) firms use

technical information exclusively, and many are making fortunes. This has gone

a long way in making the Street and the public accept the proposition that

technical trading can be profitable long term. However, HFT trading is done by

computers, and there is still resistance to the idea that many traders can trade

profitably manually using technicals alone.

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The reality is that almost all profitable traders who hold their positions for only a few days or less are making their decisions entirely based on price action, even

though most do not realize it. They want to be seen as mainstream members of

the Street, where all of the firms are still dominated by a fundamental mindset,

and feel compelled to find a fundamental reason to support their trade. Over

time, this tendency will disappear and traders will feel free to admit to

themselves and to their friends that they are getting rich from price action

trading alone, and that fundamentals do not improve their profitability at all.

I am a day trader and am out of most trades within 15 minutes to an hour, and

this means that fundamentals are totally useless for me. Fundamentals

ultimately control the direction of any market over the course of months to

years, but their impact on markets is far less clear than what the public

believes. I strongly agree with Nobel Prize laureate, Bob Shiller, who says, “The

whole idea that the stock market reflects fundamentals is, I think, wrong. It

really reflects psychology. The aggregate stock market reflects psychology more

than fundamentals.”

If JPM is a better bank than a competitor, it is worth relatively more. In simplest

terms, its stock will usually have a higher price per dollar of earnings. However,

if the overall economy is falling apart, its P/E ratio will fall, meaning that its

price will fall, even if its earnings are good. So, what should its price be? No one

ever knows, but investors will likely pay more per dollar of earnings than they

would for a bank of lesser quality. That is pretty much the extent of the impact

of fundamentals, other than an occasional news event.

The fundamentals have nothing to do with the actual price of anything, only

with the relative price, and even then, their effect is too non-specific to be of

any value to a trader, who will hold a position for minutes to a few days. I think

that traders should never pay any attention to the fundamentals or the news

because neither can fully be understood, whereas the price action is

undeniable…to traders who know how to read it. If more dollars want to buy,

the price will increase and anyone can see it on the chart. It does not matter if

the fundamentals, news, or experts on TV say it should go down. BUY!!!

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This question comes up regularly, and my simplest answer is that I trade

currency futures and Forex foreign exchange markets entirely on the basis of

price action and have no interest in the fundamentals.

This is a good place to discuss the difference between a trader and an investor.

A trader is looking for fast money. If he is a day trader, he is looking to exit

within minutes to a few hours. If he is trading daily charts, he is looking to get

out in a day to a week or so. How to trade as an investor? An investor is much

more inclined to pay attention to fundamentals and is planning on holding a

position for many months or even years. For example, he might buy GOOG

because he thinks it has great management and a strong balance sheet.

Fundamentals ultimately control the direction of any market, but their effect is

over the course of months, not days. Although you will hear traders talk about

fundamentals, once you learn how to trade, you might come to agree with me

that they are not important to a trader. There is an occasional news item that

can move the market for a few days, but almost all moves less than a week in

duration are based on price action. The market is constantly racing to support

or resistance, where the market either breaks out or reverses. I believe that

this is the concept that almost all profitable traders use to make their money,

and you will probably agree as you learn more about how to trade online.

One more point about fundamentals—they are far less clear than what the

pundits on television would like you to believe. The movement on the chart tells

you how to trade…it tells you whether more money sees the news as bullish or

bearish, and this is much more important than the analysis by either a bull or

bear on TV. The market is usually extremely well-balanced between buyers and

sellers, resulting in almost constant confusion, and therefore a very small edge

for even the best traders.

Have you ever waited for that perfect trade?

If you did, you are probably still waiting because what you soon discover is that

no setup is quite good enough. There is an institutional buyer and an

institutional seller at every tick on every chart. One side believes the market if

going up and the other thinks it will go down. Except during the 5% of the time

when the market is breaking out strongly, the market is very balanced between

the bulls and the bears. When CNBC puts on that bullish analyst, it is easy to

conclude that the market has to go up. Well, a bear sold to that bull, and he is

probably every bit as smart as the bull, yet you only get to hear one side. You

have to remember that there is always an opposite side, and that is why there

is a market…both sides need each other to achieve their goals of either buying

or selling.

Also, the fundamentals are far more complex than what television portrays, and

most institutions know them before they make the news. They are already

factored into the current price and you are deluded if you think that you or any

pundit on TV can predict the movement over the next few days because of

some profound insight into the fundamentals. If it is important, the institutions

have already entered and you are entering late…they are already placing trades

based on tomorrows news!

Also, if the Yen currency futures or Forex is falling, it is too simplistic to say that

it is because of Japan printing money. That might be a big part of the reason, at

least initially, but many institutional traders around the world are placing trades

based on many other fundamental reasons that are impossible for you to ever

know. Saudi Arabia might own a lot of Yen, but now thinks that the US economy

is becoming strong. They might sell their Yen to buy American stocks. A bank in

Europe might sell much of the Yen it might be holding because it has to pay a

huge fine to the government, and the fine has to be paid in Euros. Many of the

new shorts are simply momentum traders who are selling because the trend is

down, and they have no interest in the reason why the Yen is falling. I believe

that worrying about fundamentals is not how to trade.

In 2012, CNBC had a television show called Money in Motion and it dealt with

Forex foreign exchange online trading. They discussed every trade in terms of

both the fundamentals and technical analysis (the price action), but only placed

trades in the direction of the trend and almost always at support or resistance.

Most of the trades were pullback entries with a reward of about twice the risk.

In my Brooks Trading Course videos, I discuss the mathematics of why most

traders should only take trades where the reward it at least twice the risk, so

regardless of the fundamentals, they were recommending reasonable price

action trades and mathematically sound trade management.

These television traders would make some professorial comment about their

profound understanding of the fundamentals, but it was total nonsense. What

they argued was similar to what traders say when they trade with lots of

indicators. For example, a trader might say, “There is a stochastics divergence

and therefore I am buying.” Strong trends have an endless stream of

divergences and profitable traders would never bet on a reversal based on an

indicator alone. In fact, I believe that all profitable traders trade mostly, if not

exclusively, based on price action, even though many argue that they are also

basing their decisions additionally on fundamentals or indicators.

If you listen carefully to what they are saying, they invariably tell you that they

will not take the trade unless the price action supports what they are doing, and

every trade is in the direction of the trend, and based on support or resistance.

They then force their discussion of the fundamentals to fit what they are going

to do regardless of the fundamentals, and their trading is really based entirely

on the price action. This means that the fundamentals are entirely irrelevant to

what they are doing. The same is true of indicators. Successful traders will only

trade if the price action makes sense, regardless of what indicators or

fundamentals show.

Are the Forex markets special in some way, like so many ads for Forex

brokerage accounts make it appear? Not at all. Simply look at the three charts

in the previous section and ask yourself if can tell which is the EURUSD. I am

certain that you cannot, and therefore you will see that the price action in all

markets is the same. I mention in the course that I believe that charts are

genetically based since each is simply a representation of human behavior. If

you become skilled at reading what the charts are telling you, you will have an

edge, which you need to trade profitably. I do not believe that fundamentals

give a trader any edge at all.

Thank you for reading my *How To Trade Price Action* manual.

The next article is The folly of trading with indicators.

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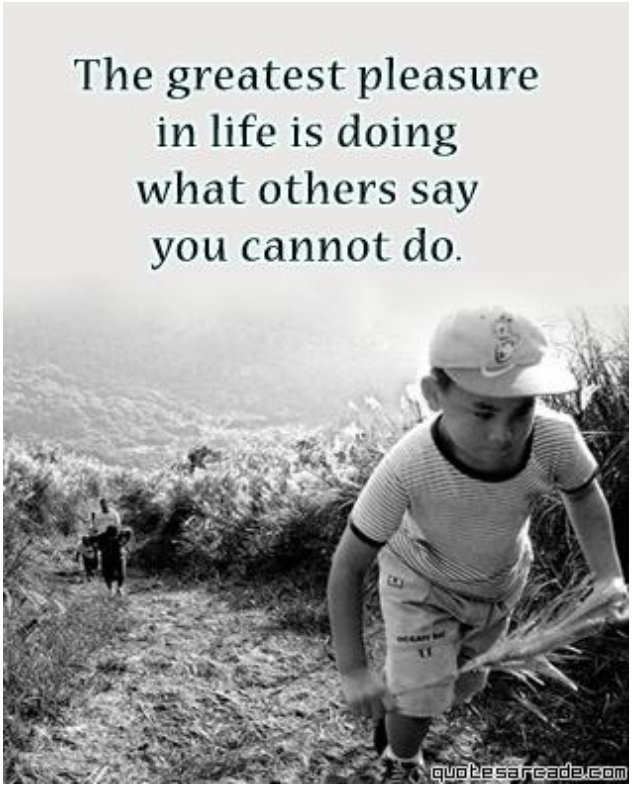

The folly of technical analysis indicators

April 24, 2014 By Al Brooks

Whenever a trader begins his quest to learn how to make

money, he naturally looks for information, and ads and websites are reasonable

resources. He will invariably find many that are extremely professional and

showcase lots of indicators. He then concludes that complicated computer

screens with lots of quote screens and charts filled with indicators are an

inescapable necessity. However, if he instead listens to professional traders on

television, he never hears anything about indicators, and instead only hears

about the market testing its old highs or a trend line. How could these traders

ever be making money without all of those indicators? Because most profitable

traders have a relatively simple approach, and it almost always based on

reading price action. They look for support and resistance and watch how the

market responds when it gets there.

During a strong bull breakout, they simply buy at the market and hold until the

market gets to resistance, where they take partial or full profits. During a strong

bear breakout, they take profits at support. Beginners are naturally afraid and

are looking for protection. They look to gurus and indicators, hoping that these

gods will protective them from trading death and lead them to nirvana. What

they soon learn is that they still lose money, even when they do exactly what

their false gods tell them to do. How can that be? The experts on television look

rich and must be great traders. The indicators in the ads must surely be what

the professionals use. What they do not realize is that trading is much simpler

and the key to success comes from within. Traders simply have to spend a lot of

time learning how to find support and resistance and how to structure and

manage trades. Everything else is a lie.

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I have never met any successful trader who makes his trading decisions based

on lots of charts covered with indicators. I believe that the exact opposite is

true. Indicators are all derived from price, so if you can read price action, why

add all of those indicators that only obscure the charts and give you the false

hope that they will somehow help you trade better? You are simply trying to

find a crutch that you hope will support you until you finally become profitable.

Successful traders take responsibility for their decisions and do not look for a

powerful outside force like a mystical indicator or a trading guru to guide them

to financial heaven.

Look at the two charts below. The first one looks like it could be in an ad. Lots

of colorful indicators, but they make it very difficult to see what you are actually

trying to trade…the price! The second one is the same chart, but without

indicators except for a 20 bar exponential moving average. Even that is not

necessary to trade profitably. I use it because it acts as support and resistance

and therefore provides several trades that might not otherwise be evident. This

simple chart is how I look at charts when I trade, and most successful traders

use something similar.

Some traders might use tick or volume charts, or one or two indicators, but

they all make most of their decisions based on price action. They want to buy at

support and sell at resistance, and the best traders are extremely good at

understanding the many forms that support and resistance take and how tests

look when they are likely to be successful. The strong the buying pressure (I

will discuss this in a later article), the more likely the market will go up, whether

it has pulled back to support or rallied to resistance. The stronger the selling

pressure, the more likely it will go down.

Ads and websites want you to believe that you can get rich if you trade a chart

that has lots of indicators...more information, more money!

This is the same chart with only a 20 bar exponential moving average. This is

how price action traders trade. Don't hide all of this great information behind

lots of indicators!

Look at the two charts below and decide which one is more likely going to lead

to a profitable trade. One has lots of technical analysis indicators that make the

chart extremely difficult to read. Beginners gravitate to charts like that because

they are afraid of price, and they get constant messages from websites and

magazine ads that implicitly tell them that adding lots of indicators will give

them the edge needed to beat the other guy. They know that price is truth and

that they cannot yet make money. Hiding the price action is a way of denying

the truth, as you will discover as you learn how to trade. Price action traders

prefer the second chart. The signals are clear, but it takes a long time to

develop the skill to read the chart as it unfolds and then manage the trade

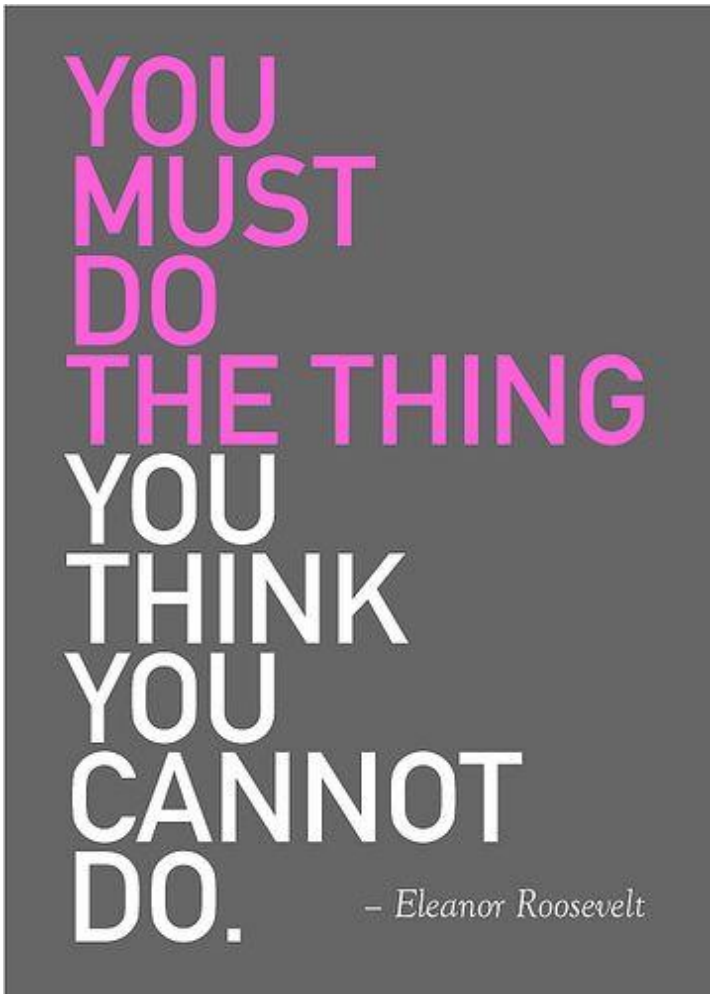
appropriately. There is nothing magical; learning how to trade successfully is

actually quite boring most of the time, but I personally find the waiting to be

very peaceful.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Trading Breakouts.



Trading breakouts

May 17, 2014 By Al Brooks

Markets are created by institutions so that they can

quickly buy or sell when they want at a fair price and with a tight spread. Their

goal is the same as ours…they want to make money by trading. The market is

always searching for a price that is fair for both sides, and that is why is spends

most of the time in trading ranges, which are areas of agreement. Breakouts up

and down are brief moves that occur because both the bulls and bears agree

that the price is too low in a bull breakout or too high in a bear breakout, and

the market needs to move quickly to a new area of agreement.

What is an area of agreement? It is a trading range. It is a price range where confusion reigns, and that is why trades rarely look certain. Most of the time,

the market is fairly balanced and there are reasonable arguments for both the

bulls and the bears. Whenever you feel confused, whenever you can think of a

good reason not to take a trade, or whenever you can see both reasonable buy

and sell setups, then you should assume that the market is in a trading range.

This confusion and balance is the goal of all markets. They are trying to find a

price where the bulls think it is sensible to buy and the bears think it makes

sense to sell. As the market works higher in the range, the bulls think the price

is less fair and they buy less.

Many bulls will take small profits and therefore are now selling. The bears who

were shorting a few bars ago see this as an even better value and they sell

more. The imbalance results in the price moving back down. When the market

tests support, which is the bottom of the range, there are fewer bears willing to

short, and other bears are taking profits on their shorts and therefore are now

buyers. Bulls see the lower price as an even better value than what it was a few

bars ago and they buy more. The market then works up to test the resistance at

the top of the range. Markets have inertia and when a market is in a trading

range, 80% of the attempts to break out will fail.

Eventually, a breakout will succeed and then the market is in a trend, racing up

to the next resistance level or down to the next support level, in search of a

price where both the bull and bears agree once again that there is value in

trading, which is the next trading range. As a market is trending, it is constantly

trying to reverse, but because of inertia, 80% of reversal attempts will fail and lead to pullbacks and then resumptions of the trend. Each reversal attempt is at

a resistance level, whether or not you see it, and it is due mostly to profit

taking.

Later in the trend, pullbacks become deeper and more complex and counter

trend scalps begin to play a bigger role on the price action. If a pullback starts

to accumulate a lot of bars, the trend fades further to the left on the chart and

its effect on the future direction dissipates. After 20 bars or so, the effect is

entirely gone and the market is then in a trading range. At this point, the

probability of the direction of the eventual breakout falls to about 50% for both

the bulls and bears. It becomes equally likely that the trend will resume or

reverse.

The most valuable skill that a trader can develop is the ability to understand

breakouts. Breakouts of what? Breakouts of everything. The simplest breakout

is a move above the high or below the low of the prior bar, but the market can

break out above or below prior highs, prior lows, trend lines, channels,

measured move targets, moving averages, or any other form of support or

resistance.

If the current bar moves above the high of the bar that just closed, will there be

more buyers or more sellers? You are asking yourself whether the breakout will

succeed and be followed by enough of a move up for a profitable long trade, or

whether it will fail and even possibly reverse and be the start of a profitable

short trade. I have frequently talked in lectures and in my video course about

the characteristics of a breakout that increase the chances that it will succeed,

and these are all signs of buying pressure. If instead of signs of buying

pressure, there are signs of selling pressure on the breakout bar or following bars, the chances that the breakout will fail and reverse down increase.

One important consideration is context, which means all of the bars to the left.

If the market has been in a trading range for a hundred bars, the chances that

the breakout will succeed are small. Markets have inertia and tend to continue

to do what they have been doing. When the market is in a trading range, most

breakout attempts will fail, even if the breakout races strongly up to the top of

the range. This is a buy vacuum that is testing resistance. Think of the top of the trading range (and all support and

resistance) as a magnet. The closer that the market gets to the magnet, the strong the magnetic pull and the faster the

market tends to get drawn to the magnet. When it is pulled up to resistance,

the move is a buy vacuum. When it is pulled down to support, it is in a sell

vacuum. Once it gets its target (support or resistance), the magnetism greatly

reduces and can disappear completely.

Strong breakouts have two or more consecutive strong trend bars (closes near

their extremes and often big bodies). For example, the bull breakout from bar 1

to bar 2 had 5 consecutive bull bars with 4 of them closing near their highs, and

7 bars without a bear body. This strong buying pressure increases the chances

that any pullback will be followed by at least a second leg up. The breakout to

bar 6 was weaker because it was small compared to the bear breakout from bar

4 to bar 5, a second leg down was likely after the strong bear breakout, and the

bull bars were weaker (they had smaller bodies with prominent tails on the tops of the bars).

How does that happen? In a trading range, as the market is going up, bulls and

bears expect the market to reach the top. If you are a bear, you will be inclined

to stop selling once it becomes clear that the market will reach the resistance

level because if you wait, you can sell at a better price. This means that there is

a relative absence of bears just below resistance. Bulls know that once the

market gets close, the probability of reaching and ever slightly surpassing

resistance increases so bull scalpers, like HFT firms, buy aggressively. The

buying by the bulls and the absence of selling by the bears often creates a big

bull trend bar or several big bull trend bars that quickly race to the top of the

range. Then, the bulls take profits and bears short aggressively.

The result is that the market reverses, even though it just strongly raced it. It

was in a buy vacuum up to the top, and if it gets near the bottom of the range,

it will probably enter a sell vacuum down to the bottom, which will be in the

form or one of more big bear bars closing on their lows. However, since most

trading range breakouts fail, the market will probably then reverse back up.

Eventually a breakout will succeed and a trend will ensue, and signs of building

buying or selling pressure within the trading range can sometimes allow a swing

trader to enter early, but most breakout attempts will fail.

During the strong bear breakout, traders will look to short for any reason (in a

bull breakout, traders will use a similar approach for their buy entries). They will

sell:

• at the market

• any small pullback as the bar is forming or after it closes

• on the close of any bar, whether there is a bull or bear close

• above the high of the prior bar using limit orders

• below the low of the prior bar using a stop order.

The ideal protective stop is above the top of the breakout (the bar 1 high).

Some traders are unwilling to risk that much and they might use a money stop,

like 20 pips (ticks) from their entry price. Remember the math. If a trader

chooses to risk less, he will have to pay for it with a lower probability of

success. Wide stops have a higher winning percentage, but the occasional loser

can be as big as several smaller losses that would have come from tighter

stops. There is no right answer, but some stops are obviously is too tight or too

wide, so don’t use them.

Another way to reduce risk less is to trail the stop to just above the high of the

most recent strong bear bar (trailing the stop in a bear trend means to move

the stop down as the market continues to fall). After each new leg down,

traders will move their stop down to just above the most recent lower high.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Channels.

Trend channels

May 17, 2014 By Al Brooks

All traders want to learn how to make money, and one important fact they need

to understand is that every market is always in trend channels. As soon as you see a line, you have to conclude that there is a channel, even if you do not see

the other line. I am constantly drawing lines on the chart to help me anticipate

where the market might break out or reverse. If the market ignores the line by

either breaking strongly through it or by not reaching it, I erase the line and

ignore it as well. The channel goes up in a bull trend, down in a bear trend, and

sideways in a trading range. The lines converge in a triangle and diverge in an

expanding triangle. When a triangle slopes up or down, I call it a wedge.

However, I use the term loosely and I call any diagonal pattern a wedge if it has

three pushes, even if the channel lines are parallel and not convergent (wedge

shaped). It does not matter because the pattern functions the same as a

textbook wedge.

A wedge is any pattern that has three pushes, and therefore it is a test of a

trend channel line, which can lead to a reversal or a breakout (for example, the

wedge bear flag at bar 14 had a bull breakout). When the pattern is horizontal,

it is called a triangle. Most wedges do not have a wedge shape, but still function

as if they are perfect.

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The computers that control the mkt do not limit themselves to horizontal

channels, and do not care if the channel is horizontal or sloped, or even steeply

sloped. They just keep generating trades based on lines, which are a type of

support or resistance.

Nothing is random because 70% of the volume is traded by computers, and

they are all using logic. The more experience a trader has, the more he can see

what the comps are seeing. If enough comps see the same thing, then the mkt

does something. Everything that happens is because a critical mass of

computers is seeing the same thing, and that creates a move. There is no noise

or randomness in the market and every tick means something.

I know that this might sound weird and conspiratorial, but it is the only thing

that I can think of that is consistent with what I see every day and in every

market. It simply makes sense.

Every line needs at least two points. As soon as traders see two points, like a

higher low after a reversal up, or a double top in a trading range, they draw

lines and extend them to the right. If the market returns to the line later on,

they will look for a reversal at the line, which usually happens. Sometimes the

reversal comes just before reaching the line, and other times it occurs after

breaking beyond the line. If instead there is a strong breakout, they then will

look to trade in the direction of the breakout. The lines are often exact,

especially in the Emini, but in general, traders should think of the lines as being

drawn with a fat crayon instead of a sharp pencil.

Remember the market cycle. The market is always either in a trend or a trading

range. Trends begin as breakouts and then transition into channels. Channels

eventually evolve into trading ranges, which then breakout again, and the

breakout can be in either direction.

Once a breakout begins to have pullbacks, the trend has transitioned from its

breakout phase into its channel phase. Some channels are so steep and tight

that they are as strong as breakouts. When that is the case, they are breakouts

on higher time frame charts. For example, a very tight channel on a 5 minute

chart is a breakout on a 15 minute chart.

Some channels are broad and have very wide swings. Other channels are tight

and have with very small pullbacks. If a trader cannot decide if a channel is

broad or tight, he should assume that it is tight and only trade in the direction

of the trend. If instead the channel is clearly broad, then he can consider

trades. A channel can only be broad if both the bulls and bears are reasonably

strong and this means that the channel is basically a trading range that is

sloped up or down. For example, in a broad bull channel, a trader can buy for

scalps or for swings. The pullbacks from new highs are deep enough so he can

also short. Since the shorts are against the trend, he should only scalp when

shorting.

Channels are either tight or broad. When tight, only trade in the direction of the

trend and you can swing trade or scalp.

When a channel is reasonably broad, a trader can also consider taking

countertrend trades. He should try hard to buy the dips because it is a bull

trend. He can swing or scalp his long traders. He can also consider shorting new

highs, but since this is countertrend trading, the shorts are only scalps.

Once there is a pullback in a breakout, the market usually enters the channel

phase, but sometimes there will be another breakout or two before the channel

begins, and at other times, the channel is so small that the market essentially

just enters a trading range. During the channel phase, they will be more

cautious with their entries. For example, in a bear channel, they will no longer

short below or above every bar. They will begin to prefer to sell a little higher,

like below the low of a bar in a small rally to near the moving average. Many

will still be willing to sell above bars and scale in higher if the bar is part of a

weak looking buy setup. The idea is that if the bull reversal setup looks weak,

there will probably be more sellers than buyers above the high of the buy signal

bar, and therefore selling exactly where these losing bulls buy makes sense.

The stronger the bull bars (the more buying pressure), the more the bears will

want a strong bear signal bar before shorting.

Traders trade channels and trading ranges similarly since they both are areas of

two-sided trading. Since a channel is simply anything between two lines, a

trading range is simply a horizontal channel. In a channel, one side is stronger

and in a trading range, both are equal. In general, I use the size of a scalp to

determine whether I should take a countertrend trade. If an Emini scalp is 4

ticks, I would like to see a recent move down of 8 to 12 ticks before I would

consider shorting in a trading range or in a bull channel. Similarly, I would like

to see an 8 to 12 tick rally in a trading range or a bear channel before

considering long scalps. If I am looking for a 20 pip scalp buy in a trading range

or a bear channel in the EURUSD, I would like to see a recent 40 pip rally first

to show me that the bulls are strong enough to move the market up far enough

for my scalp to be profitable.

Microchannels

A microchannel is a tight channel where there are no pullbacks. For example, if the market is rising for 6 bars and the low of each bar is at or above the low of

the prior bar, this is a 6 bar bull Microchannel.

Microchannels should be thought of as breakouts, and most usually are

breakouts on higher time frame charts. When the bars are small, it is easy to

miss what the market is telling you. For example, if there are 10 consecutive

bars, which can be small and unremarkable, where each low is at or above the

low of the prior bar, this is a 10 bar bull Microchannel. This means that the bulls

have owned the market for the past 10 bars, even if the bars and price rise are

small. When a Microchannel occurs early in a trend, it is often followed by a

strong acceleration and breakout. When one occurs at the end of a trend, it is

often an exhaustive climax that is soon followed by a two-legged correction.

The market rallied for 13 bars without a bar falling below the low of the prior

bar. This is a microchannel, with is an extreme form of a tight channel.

Thank you for reading my *How To Trade Price Action* manual.

The next article is [Support and resistance.]

Support and resistance

May 17, 2014 By Al Brooks

Listen carefully to traders on television who are

making money every day because they can help you learn how to trade. Do you

ever hear them say that they are shorting because there is a Harami or a Dark

Cloud Cover? NO!! They rarely mention any technical studies, including

oscillators and bands. You constantly hear them talk about moving averages,

prior highs and lows, and trend lines, all of which are examples of support and

resistance. This tells you something very important about how truly successful

technical traders make money…it’s not from candle stick patterns.

You will often hear traders say that they are buying a stock in a bull trend since

it is pulling back and is testing a prior low, a moving average, a breakout point,

or the bottom of a channel. They will even buy it on the close of a big bear bar

closing near its low, which a candle pattern trader would never do. When a

stock is in a bear trend, they will short a rally to a prior high, a moving average,

a breakout point, or the top of the channel. They won’t care what the candle

looks like. They just know that it is at resistance, sold off here the last time, and

should do so again. Professional traders are much more concerned about

“buying low” at support (either to get long or to take profits on shorts) and

“selling high” at resistance (to take profits on longs or to get short).

When a bull is extremely strong, they will say that they bought today, which

means that they see the market as being in a breakout phase. When that is the

case, they feel compelled to enter right now and not wait for a pullback,

because the pullback might not come for a long time and they do not want to

miss the strongest part of a trend. This is how lots of professionals trade.

How to trade support and resistance…you have to know where to look for

measured moves and how to draw channels.

Lines are a type of support or resistance, depending on context, and both bulls

and bears always look to initiate trades at every type of support and resistance.

This is my general perspective. I will give a buy example. If a bull buys at

support and the market rallies, he makes a profit. If instead the market sells

off, he decides to exit or hold. Many of the bulls who hold will scale in as the

market falls. What happens when the market finally rallies and gets near their

original entry price? They will exit. They get out around breakeven on their first

entry and with profits from their lower entries.

However, now the bulls are selling instead of buying. The bears are always

selling, so there is no one to buy. The market has to fall to find buyers.

Remember, the bulls bought here earlier because it was support. Now they are

selling here and it therefore has become resistance.

If their original buy was at the bottom of a bear channel that they as a wedge

bull flag, that trend channel line is sloped down. Now that the mkt has broken

below it, bulls and bears will see it as resistance and sell whenever the mkt

rallies back to it.

Gaps

I use a very broad definition…a gap is any space between support and

resistance. For example, if the current bar is a bull trend bar that closes above

the high of the prior bar, there is a gap, and that bull trend bar can function

exactly like any other traditional gap on a daily chart.

Measuring and exhaustion gaps are present on every intraday chart, but I have

never seen them discussed by anyone else. Since they are so reliable, the

computers clearly are using them as for profit taking and reversal trades. When

you look at a daily chart, gaps are often easy to see. If today’s low is above

yesterday’s high, the space is called a gap. When a gap occurs early in a move,

it is called a breakaway gap. When it occurs in the middle of a move and the

move ends around a measured from the gap, it is called a measuring gap. When

a gap occurs late in a move and then the market reverses, it is an exhaustion

gap.

Actual gaps like this occur on intraday charts, especially in thinly traded

markets, but are extremely rare in major markets. However, there are other

very important gaps that commonly form intraday, but are not so obvious. For

me, a gap is a space between any support and resistance area. While an

intraday gap is forming, if you are aware of it, you can be prepared. You can

often place trades using stops that are only 2 or 3 ticks from your entry price.

That immediately tells you that your probability is low and your reward is big

compared to your risk, but the math works out and the computers often take

these trades. An obvious example is if the market rallies to a resistance area,

pulls back and then rallies one more time. There will always be computers

placing orders to go short at one tick below the first high, risking to one or two

ticks above, and betting for a double top and measured move down. Even if the

probability is only 20% in a particular case (it often is 40% or more, depending

on the context), if the reward is 10 times greater than the risk, the Trader’s

Equation is strong.

A gap is a space between a support and resistance level. Each red rectangle is a

gap between the close of a bar and the high of one or more prior bars. Each

green rectangle is a gap between the low of a bar and the high of a prior bar,

and these gaps often lead to measured moves (these bars are therefore

potential measuring gaps).

Many computers use tick charts where they examine every tick and they are

constantly assessing the strength of pullbacks. For example, if there is a bull

breakout and then a pullback, the computers will know if the pullback fell below

the low of the breakout point, or if did not and there was therefore a gap. If the

pullback held above support, the gap created is a sign of strength and often

becomes the middle of a move. The computers will decide where the move

began and then look for a measured move up where they will take profits or go

short. Similarly, if a bar on the 60 minute chart is a measuring gap, the low of

the bar after the gap bar is usually a clear swing low on the 5 minute chart, and

the high of the bar before it is usually a clear swing high on the 5 minute chart.

The space between is the gap and it often will end up as the middle of the move

up.

I pay particular attention to a particular type of gap when the market is in the

earliest stages of a possible reversal. For example, look at the 5 minute Emini

chart below.

Measuring gaps. The bar 3 high was at and not above the bar 2 low, and the

gap (the bar before bar 3 is the gap) became a measuring gap. The breakouts

above bars 6 and 8 also became measuring gaps. Notice how they accurately

predicted turning points. This is because so many computers use them in their

calculations. Computers need math, and gap and measured moves are sources

for some of that math and they are routinely used in computer algorithms.

Notice how the close of one bar is above the high of the prior bar and that the

low of the next bar did not fall below that high. This is a sign of buying pressure

and increases the chances that the market will continue higher, at least enough

for a trade. It is also a potential measuring gap. Look what happens once the

market rallies to the measured move target. The small pullback means that the

computers took partial profits at the measured move target. These gaps are

present on all time frames and are important signs of strength.

In strong trends, I also look for gaps because if they begin to fill, then

countertrend trades are often profitable. For example, look at how the first gap

stayed open, but how the second one closed. Trends tend to weaken as they

progress. Pullbacks become stronger and deeper as the market transitions from

the trend channel phase into the trading range phase. Once pullbacks begin to

retrace beyond break out points, trades will begin to fade new break outs and

scale in for scalps.

Measured Moves

The most commonly discussed measured moves are leg 1 = leg 2 moves and

measured moves based on reversal patters, like double and bottom or head and

shoulders patterns. While both are very important, there are many variations of

them, and the more that you understand, the better you will trade. I mentioned

that intraday gaps often lead to measured moves. As a potential gap is forming,

traders often enter during the breakout, expecting the measured move to

follow. Once at the measured move target, traders will take profits while other

traders will fade the move, hoping for a reversal. If the trend is very strong

when it reaches the target, there will be almost only profit taking and very little

trading in the opposite direction. However, if there is a second entry, more

traders will be willing to take the trade. For example, if the market races up to a

measured move target or any other resistance, pulls back, and then tests the

resistance again, bears will be more willing to short if this second rally looks

weak or begins to turn down. This is a second signal and has a higher

probability of success. Most tops come from some type of double top and most

bottoms come from double bottoms, but most of these tops and bottoms are

not even close to exact. If a trader understands what the market is doing, he

will be able to see double tops and bottoms that most traders would consider

too imperfect to trade. For example, a strong bull breakout might have a one

bar pullback and then another big bull trend bar. If the following bar is a bear

inside bar or reversal bar, this is a possible double top sell setup if the context

is good.

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Most patterns do are imperfect. The breakout from bar 4 to bar 5 was strong

and therefore likely to lead to some type of measured move. Here, the second

leg up was close to a perfect leg 1 = leg 2 measured move. Notice how the

market decided that the trend up began at bar 4 and not the bar 3 low, where

the market was still two-sided. Most patterns are not perfect, but they make

sense to those who understand what the market is doing. Bar 1 and bar 3

formed a double bottom, which also was not perfect; double tops and bottoms

rarely are perfect.

Late in a trend, after it has gone for 20 or more bars, if it suddenly has the

strongest or two consecutive strong trend bars with very big gaps, this usually

is an exhaustion gap that will be followed by a bigger pullback. As I guide, I

look for about 10 bars and two legs. The market tries to retest the start of this

final breakout. In a bull trend, this means that the minimum target for the

pullback is a test of the low of the first bar of this final breakout, which will

usually also be a test of the moving average. If I am long, I usually take profits.

If I am already flat, I will often short the close for a scalp down and scale in

higher, using a protective stop that is greater than the height of this final

breakout.

When the best looking one or two bar breakout occurs 20 or more bars into a

trend, it more often is creating an ***exhaustion gap*** *(a buy climax) rather than*

a measuring gap. Bar 4 was the second entry short (the first signal was two

bars earlier) for a Final Flag top, which was also a Higher High Major Trend

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Reversal. A strong reversal like this usually will have at least two legs down. Bar

6 was a Lower High Major Trend Reversal and the signal bar for a second entry

short, which increases the chance of success.

Another common gap occurs late in a trend and I call it a Moving Average Gap

Bar. For example, if there is a strong bear trend that now is having a rally, and

one or more bars are now completely above the moving average, I call these

gap bars (there is a gap between the low of the bar and the moving average).

Traders will often short on a stop one tick below the low of the prior bar, looking

for a test of the bear low. However, since the rally was strong, this sell off will

usually be followed by a Major Trend Reversal (discussed in a later article), and

a two legged move up. The reversal up will usually last at least one third as

many bars as there were in the bear trend.

Moving Average Gap Bar (MAGB). The market reversed up from bar 4, whose

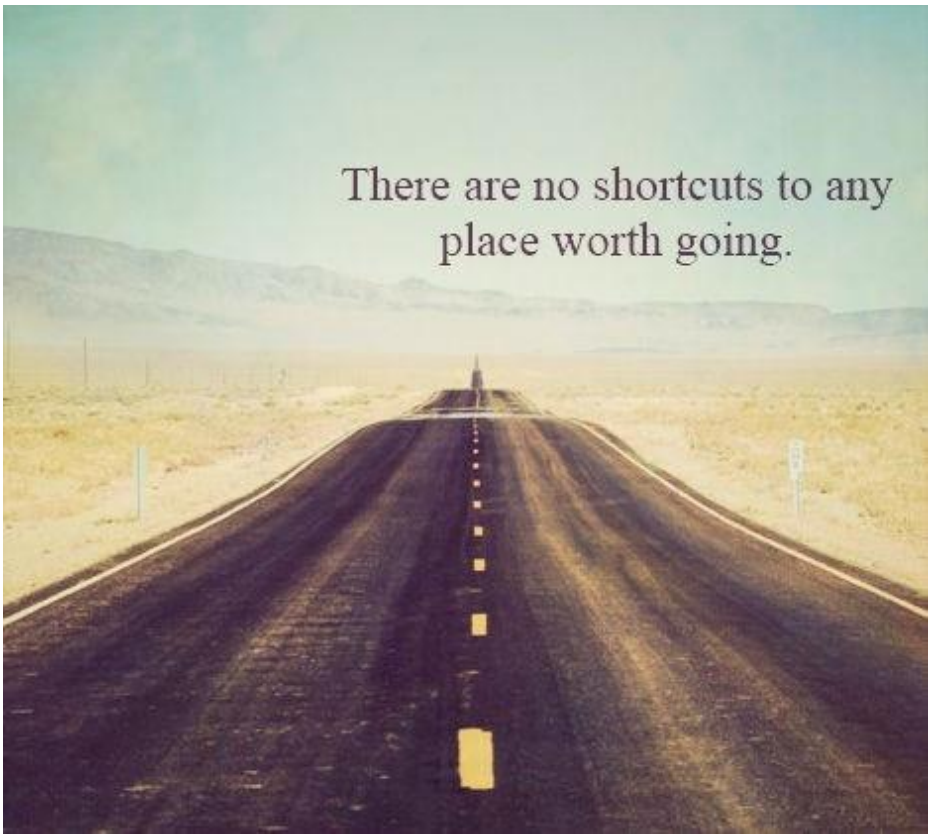
high was below the moving average. A MAGB often leads to the final leg of the

trend before a Major Trend Reversal, which triggered below bar 7. The bar 3

MAGB failed and was followed by one more push down.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Trading ranges.



Trading ranges

May 10, 2014 By Al Brooks

The market is in constant search of

balance, which means a price where both the bulls and bears feel there is value

in placing a trade…that they will make money. This means an area of confusion,

because how else could both the bulls and bears feel that the price is good? It

constantly probes up and down as it tries to determine the fair price area. Most

of these rallies and selloffs fail and the market stays within the range.

Occasionally one leads to a breakout, which means that both the bulls and

bears are no longer confused…they agree that the price is too high in the case

of a bear breakout, or too low in a bull breakout. The market then quickly

moves to a new area of confusion, which is another trading range, where both

the bulls and bears feel that the price is about right.

Price action is a never ending market cycle of trends and trading ranges. Trends begin with a breakout. Once pullbacks begin, the trend converts from the trend

breakout phase to the trend channel phase. This is followed by increasing two-

sided trading and the evolution into a trading range. The seeds of the next

trend are planted in every trading range, and once you learn how to read

buying and selling pressure, you are in a position to anticipate the next

successful breakout. As soon as there is a breakout up or down, the process

begins again.

Once the market appears to be in a trading range, traders will BLSHS…Buy Low,

Sell High, and Scalp. Buy Low can be to take profits on a short or to buy to go

long. Sell High can be to take profits on a long or to initiate a short. A pullback

that grows beyond 20 bars loses most or all of the influence of the trend that

came before it, and the probability of Trend Reversal becomes the same as that

for Trend Resumption. Once there is a successful breakout in either direction,

the process begins again.

When the market is in a trading range, traders should only BLSHS…Buy Low,

Sell High, and Scalp. They should avoid placing trades in the middle third (the

gray area) of the range.

Trading Ranges always look like they are about to break out. Strong legs up

trap traders into buying high (remember, you should only Sell High!), since they

will assume that the strong leg up will have a second leg up after any pullback.

Strong legs down trick traders into looking for shorts at the bottom of the

range, again because the move looks so strong that it makes them erroneously

believe that there will be a successful breakout. Again, this is the opposite of

what experienced traders will do. People are naturally hopeful and it takes time

to get past the tendency to believe that a strong breakout attempt will succeed.

These strong rallies are just buy vacuums that test the resistance at the top of

the range, and the strong selloffs are cause by the support at the bottom of the

range vacuuming the market down for a test.

The market gets vacuumed to the top and bottom of the range, but there is no

follow-through. Beginning traders constantly get trapped into buying big bull

trend bars at the top and shorting big bear trend bars at the bottom because

being hopeful is part of our nature. Traders are hoping for the next trend, but

markets have inertia and when a market is in a trading range, 80% of

breakouts up and down will fail.

Tight Trading Ranges

A trading range is simply a horizontal channel, and like other channels, it can be

broad or tight. When a trading range is broad, traders can enter with stops,

selling at the top and buying at the bottom. They can also fade breakouts by

placing sell limit orders above prior highs to go short and buy limit orders below

prior lows to get long. The can also fade breakouts by simply shorting strong

bull closes at the top of the range or buying strong bear closes near the bottom

of the range, correctly expecting that these breakout attempts have an 80%

chance of failing. When they sell at the top, they are doing so either to take

profits on longs that they bought lower in the range or to initiate short

positions. When they buy low, they are either taking profits on shorts that they

sold higher in the range or to initiate long positions.

When a trading range is tight, most traders should not trade. Experienced,

aggressive traders will scalp with limit orders, buying below bars in the bottom

third of the range and scaling in lower, and shorting above bars in the top third

of the range and scaling in higher. However, whenever the range is too tight,

they shuld wait for a breakout up or down. An example of a tight trading range

that is too tight is one where the height of the range is only twice the size of a

scalp.

Sometimes a trading range can be extremely tight, with many bars only 1 tick

tall, yet still have a big breakout on huge volume. This was New Year's Eve in

2009, and it is a reminder that the institutional computers are always there, even in the final minutes of the year, just before a major holiday. The 1 p.m.

had 77,000 contracts! Just as it was a very profitable opportunity for them, it

can be for us as well, if we are prepared to trade.

The tight trading range was a breakout mode setup, which means that a

breakout and swing trade was likely, but it could be in either direction. There

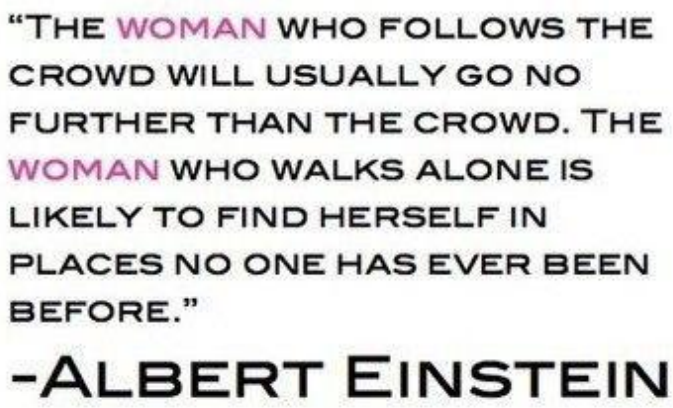
could have been a trend reversal up. Here, there was a trend resumption down

(the bear trend from before the tight trading range resumed with the bear

breakout below the tight trading range.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Reversals.



Trend reversals

May 10, 2014 By Al Brooks

All of us are trading to make money. The greatest fear that a beginner has is

losing money. Many erroneously try to prevent this by using the smallest stop

possible, not aware that there are two other variables that are just as

important. This makes him always want to buy the exact bottom or sell the

exact top because he realizes that the stop is then close to his entry, just

beyond the opposite side of the signal bar. He sees lots of great trend reversals

in books and on websites and assumes that they are common.

However, he wonders why he watches the market day after day and never sees

anything as perfect as what he was hoping to find. The reality is that there has

to be an institution taking the opposite side of his trade, and no institution is

going to give him perfection because then the institution would be taking

something perfectly bad…a low probability of winning where the risk is much

bigger than the reward. That means that there has to be something wrong with

every reversal (and with every trade!).

When there is a gap up and then a gap down, or a gap down and then a gap up,

an island is created. If an island forms in a trading range, the breakout usually

fails because most breakouts from trading ranges fail. When one forms in a

trend, the reversal usually fails because most trend reversals fail.

However, islands sometimes lead to big trends. Traders betting on the trend

have a low probability trade with low risk and big reward. Other institutions take

the other side, where they have a high probability of a profit, but a worse

risk/reward profile. Both are acceptable. Other prefer to wait to see a strong

breakout before entering because the probability is then higher.

What could possibly be wrong? The beginner sees a perfect bull reversal bar,

just like in the books, and the market is reversing up from a trend line or some

other support. This should be perfect! However, he fails to pay attention to the

context, which is all of the bars to the left. Trends, like Trading Ranges, have

inertia and therefore strongly resist reversal attempts. In fact, 80% fail and just

become pullbacks (bull flags in bull trends and bear flags in bear trends). This is

true of all reversals, including head and shoulders patterns and double tops and

bottoms. Most are simply flags and the trend will continue. Rarely, there will be

a reversal, but you will lose money if you just mindlessly short every head and

shoulders top because most are just triangles in bull trends and are followed by

higher prices. If the context is right, a head and shoulders pattern might be

worth trading. For example, if there is a bear trend and then a head and

shoulders bottom, the rally up from the low might break above the bear trend

line, which forms the top of the bear channel. The right shoulder then is simply

a pullback from that breakout and is therefore a breakout pullback buy. I prefer

to not use the term head and shoulders and instead use either a breakout pull

back or a Major Trend Reversal, because those terms more clearly describe

what is happening. They imply that the context supports a reversal. Head and

shoulders does not tell you anything about the context, and the overuse of the

phrase has traders constantly looking for reversals when they should instead be

expecting trend resumption.

Incidentally, I mentioned earlier that trends are followed by trading ranges,

which are then followed by trend resumption or trend reversal. Head and

shoulders patterns usually do not have enough bars to make the odds favor

reversal. The odds still favor resumption, and this means that most head and

shoulders patterns are medium sized triangles (bull or bear flags) and not

reversal patterns. Most trends do not abruptly reverse into opposite trends and

have to first enter a trading range. This means that most reversals involve a

trading range, which usually is a Final Flag or a Major Trend Reversal. Most

climax reversals are usually variations of small Final Flag reversals. After the

reversal, a Major Trend Reversal then usually forms. For example, after a buy

climax reverses down, there is usually a test up to form a Lower High Major

Trend Reversal, which usually lead to at least a leg 1 = leg 2 measured move

down.

Final Flag and Major Trend Reversals.

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A horizontal trading range late in a trend often becomes the Final Flag in the trend, as it was here. Bears shorted below bar 3, looking for a swing down that

would fall at least ten bars and two legs (that is my minimum target). After the

market fell below the bull trend line and then tested the bull high (bar 5 tested

bar 3), traders shorted below 5 (a Lower High Major Trend Reversal), hoping for

a swing down.

The rally to bar 7 lasted 9 bars and had several bars closing near their highs. It

also broke the very steep bear trend line. This made traders look to buy a

reversal up after a test down (a test of the bar 6 or bar 7 low). Bar 8 was the

signal bar for a Higher Low Major Trend Reversal. All Major Trend Reversals are

types of double tops and bottoms (double tops and bottoms much more often

look like this than like the perfect ones that you see in books).

If there is no significant buying pressure, the chances that a strong bull reversal

bar will lead to a reversal are small. At best, a small pullback might form, but

that is not enough of a reward to offset the low probability, and he continues to

lose money. On the other hand, if there recently was a rally that went above

the moving average and had several good size bull bodies with closes near their

highs, and the sell off to the bull reversal lacked strong bear bars, then the odds

of a profitable reversal where the reward would be at least twice the risk would

be higher and probably at least 40%. This means that waiting for a strong

context converts the trade into a mathematically sound one, even if the

probability is only 40% (it might be higher, if the context was strong).

This is a Major Trend Reversal, which is a type of double bottom. There is a

bear trend and then a reasonably strong rally lasting about 10 bars. In this

case, the signs of strength included several strong bull bars and a move above

the moving average. The sell off to test the bear low was weak. It does not

matter if the selloff is a perfect double bottom (most double tops and bottoms

are not perfect), or of the bull reversal bar formed a higher low or a lower low.

All are double bottoms. If the move down to test the low falls below the low by

5 or more bars, the bulls probably need another strong leg up above the trend

line and then another test of the new low. They need to look for a new Major

Trend Reversal. Once the move up begins, it usually will go up for at least two

legs and it usually will test the top of the bear channel. At that point, a large

trading range usually develops, but the bulls will still have a reasonable chance

of a swing up before that happens.

Another common reversal is a Final Flag. In any trend, after it reverses, you can look back at the last flag in the trend, which ended up as the Final Flag. As Final

Flags are forming, they usually have characteristics that alert traders to watch

for a failed breakout and then a reversal. For example, if there is a bull trend

that has lasted a long time, say 40 or more bars, and now it forms a trading

range with good two-sided trading (maybe a double bottom bull flag, which is a

type of High 2 buy setup, or a triangle), the upside breakout might fail and this

trading range might become the final flag of the bull trend. Traders will assess

the selling pressure within the trading range. Were there many bear bars with

good size bodies and closes near their lows? Is the market just below a

resistance area? Was the bull breakout weak, and did it have two or three small

pushes up (like a wedge top)? If so, traders will look to sell below a bear

reversal bar, especially if it is strong, looking for a swing down (at least ten bars

and two legs) to s support level. The first target is the Final Flag. If the bear

breaks below, then traders will look for a measured move down to a trend line

or an earlier higher low, maybe based on the height of the trading range or the

size of the final bull leg.

There are many forms of climactic reversals, but V bottoms and tops virtually

never exist. They are all variants of some other pattern, like a small final flag.

In general, most trend reversal last at least 10 bars and two legs on the time

frame you are watching. If the trend lasted 80 or more bars, the reversal is

probably also a higher time frame reversal (like a 15 minute reversal if you are

looking at the 5 minute chart), and it will probably last at least 10 bars and two

legs on that higher time frame.

What happens if you miss the initial entry? Only good things! Once you see that

the reversal down is strong (maybe it has four consecutive bear bars that all

close near their lows), the Always In direction will have flipped to short and the

probability will go up for the bears. Yes, the stop will be further away and there

be fewer ticks remaining in the selloff, but the probability of a profitable trade

might be 60% or higher, which makes it a great short.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Trading the open.

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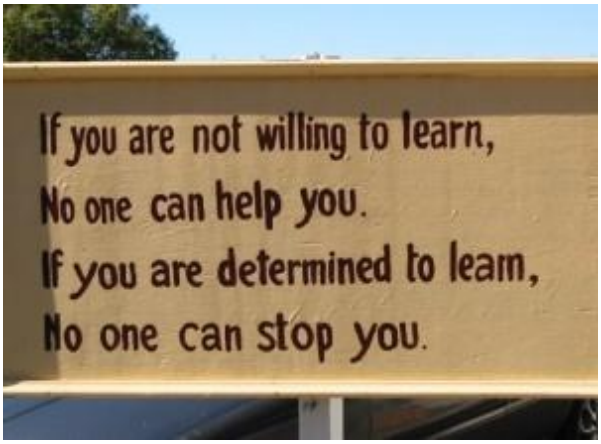

Day trading the open

May 17, 2014 By Al Brooks

The “open” may allow traders to make a

lot of money from the first bar, which happens about once a week, or only after

a couple of hours of going sideways. Most traders concentrate hard during the

first couple of hours because it is the most likely time that a swing setup will

form. If the open does not trend immediately, of it does not quickly test support

or resistance in the first few bars and then reverse into a trend, it usually forms

some type of double bottom or top that leads to a breakout of the developing

trading range and then at least a measured move, based on the height of the

range. For example, if it opens below the moving average, rallies to the moving

average and falls back, and then rallies again to the moving average, traders

will look to short this second test if it also turns down, betting that his double

top might be the high of the day. The high or low of the day (or at least of the

next 3 or 4 hours) occurs on the first bar of the day about 20% of the time,

within the first 7 bars on the 5 minute chart about 50% of the time, and within

the first 90 minutes about 90% of the time. Because of these high probabilities,

traders look carefully at every reversal or breakout early on to see if they can

place a swing trade (meaning that the reward is at least twice as big as the

risk).

Trading the open. An Opening Reversal, like the pullback to support at bar 4 (a

wedge bull flag down to the moving average after a gap up), or a Double

Bottom, like bar 8 and bar 12 (you could also refer to bar 9 or bar 10 as the

first bottom...some computers will use those instead) often lead to swing trades.

The Emini had a trend from the open bull trend after a big gap down, and then

a trend from the open bear trend after a big gap up. The bulls were able to

close the gap down, which turned it into an exhaustion gap.

The next article is Always in long or short.

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Always In Long and Always In Short

May 17, 2014 By Al Brooks

Some traders are constantly afraid of entering

because they are waiting for the perfect trade. They are looking for a high

probability of making a lot of money while risking very little. They want trades

that look like the ones they see on all of those websites that make trading

sound so easy…simply learn a dozen candle patterns and get rich! They have

not yet come to accept that perfect trades cannot exist because there always

has to be a reason for an institution to take the other side of his trade. The

result is that all trades look uncertain and we all live and work in a constant

gray fog. Once traders accept this reality, their trading lives become much more

relaxed. Those traders who are still struggling with it should consider adopting

an Always In approach to trading. If a trader looks at any chart and had to enter either long or short at that moment, his choice is the Always In direction.

The choice is not always clear, but he can almost always pick one. Sometimes a

trend is so strong that the choice is obvious and other times it is much less

certain. When in doubt, traders should assume that the choice is the direction of

the most recent three or four bar breakout. If a trader believes that the market

is Always In Long, he can buy for a swing at the market or on a pullback, and

place his stop below the low of the most recent bull breakout. This is the most

recent strong leg up, which is the most recent bull trend resumption, and

usually is from one to five bars in duration. Once a trader is long, he can then

add to his position as the bull continues, trailing his stop to below the low of the

most recent bull breakout. He can also take partial or full profits at resistance

levels or at new highs and then put his full position back on during a pullback.

Similarly, if a trader believes that the market is Always In Short, he can short at

the market or on a pullback, and place his stop above the high of the most

recent leg down (the most recent bear breakout or trend resumption).

Reversal to Always In Long. Double tops late in trends, like the one at bar 3 and

bar 5 (double tops and bottoms are rarely perfect and most look similar to this),

often become the Final Flag. After the market had 5 consecutive bull bars up to

bar 7, traders thought that there would likely be at least a second leg up and

concluded that the market was now Always In Long. Many would buy with either

a limit order below bar 7 or a stop order above bar 8, using a protective stop

below the bar 6 bottom of the bull breakout.

You often hear traders on TV talk about buy, sell, or hold. This does not make

sense because the two choices are really just buy or sell. For example, if your

friend has a $100, 000 portfolio filled with stocks that his adviser says are

“holds” and you have $100,000 in cash, you could simply buy his identical

collection of stocks, even though they are rated hold and not buy. You would

then have his identical portfolio, which his adviser considers worth holding.

Traders should look at their portfolio at every instant as being made up of either

buys or sells. If you have a profit on a stock, it is not someone else’s money. It

is in your account so it is your money, and holding it is no different from

someone else simply buying it this instant, if he uses the same profit target and

protective stop as you. This is the basis of Always In trading.

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If you look at a market and wished that you had bought earlier and now are

waiting for a pullback, then you should buy at the market. If you believe that it

is good enough to be holding the stock at this moment, using a certain stop and

target, you should just go ahead and buy it now. If you think that it is better to

look to buy a pullback, then, if instead you were long, you should sell out and

wait to buy again lower. Traders should constantly look at their account every

second as being totally available to enter any position or exit any position at

any time, and no decision should be based upon when and at what price you or

someone else entered. This ignores tax considerations, which should be part of

the decision, but are irrelevant to traders because of their small time frame.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Beginners should enter using stop orders.

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Stop orders

May 17, 2014 By Al Brooks

Beginners should only enter with stop

orders. He often waits for many bars before he finally finds a trade that he is

confident will make him money. He very often then watches the market reverse

quickly and stop him out, and it occurs to him that he would have made a profit

had he done the exact opposite of his trade.

Over time, he comes to accept that it is important to respect the institution

taking the other side of every trade because 40-60% of the time, that

institution will win and he will lose. That is the nature of trading. During strong

breakouts, the probability of continuation can be 70% or higher, but the stop is

then far away. Remember, there always has to be a reason for an institution to

take the other side. If you have high probability, then it has a big reward

relative to risk. Other than during strong breakouts, the probability that the

market will move 10 ticks (or any number) up before going down 10 ticks is

between 40 and 60% (“the 40 – 60 rule”), and if he always goes for a reward that is at least twice as big as his risk, he will have a positive Trader’s Equation.

This means that he will make money over time if he manages his trades

correctly.

In general, traders should look at any market as either a stop entry type of

market or a limit order type of market. Also, traders should assume that every

limit order is the opposite side of a stop order. If you buy on a stop at one tick

above the high of the prior bar, you should assume that the institution taking

the other side entered with a limit order. If you shorted with a limit order at the

high of the prior bar, you should assume that the institution that bought the

other side of your trade entered with a stop order. Obviously, you never know

who took the other side of your trade or how or why they did, but it does not

matter. As a trader, you should look at every breakout, even a breakout above

or below the prior bar, as likely to succeed or fail.

The entry bar is the bar when you enter a trade and the signal bar is the bar

*before, which gives you a reason to enter. An **ioi pattern** and an **ii pattern** are also signals. Depending on their location, they can sometimes be breakout*

mode setups, which means that traders will be willing to buy a breakout above

or sell a breakout below the patterns.

Beginners should stick to entering with stop orders because the market is then

going their way for at least one tick. However, more experienced traders

recognize that there are times (like the area in red where the market is in a

tight trading range and weak bear channel) when limit orders are more

profitable. They will then switch and buy below bars in the bottom half of a

range or channel and scale in lower for scalps, and they will also sell with limit

orders above bars in the top half of the range or channel and scale in higher for

scalps.

Once you have an opinion, if you can structure a trade that makes sense, then

you can take the trade. For example, if there is a small bull flag at the top of a

trading range, you know that most breakouts fail, and therefore the probability

is that the sellers will overpower the buyers at the high of the prior bar. This

means that you can consider shorting with a limit order at the high of the prior

bar. A bull might be willing to buy with a stop order above that bar, taking the

opposite side of your trade. However, he knows that the probability of his trade

is small. He is willing to take it because he also knows that if the breakout

succeeds, the rally might go for at least a measured move up, based on the

height of the trading range. The result is that he took a low probability trade

(one where he knew that he would probably lose), but since the reward was so

much greater than the risk, he knew that the math was still good for him.

Beginning traders should enter with stop orders, for example, buying one tick

above the high of the signal bar on a stop.

Although the math is good for either side of the trade, high probability trades

are easier to manage. This is because low probability trades often look bad for

many bars after entry, and the trader is constantly tempted to exit. If he exits

too many before they reach their targets, he will not get those infrequent big

wins that are needed to offset his frequent small losses, and he will lose money.

The high probability side is easier to manage because, by definition, you will

probably make money on every trade. This means that you can mess up

occasional trades and still end up profitable over time. This obviously sounds

great, but it is not easy. Remember, there has to be something in it for the

other side. If you get high probability, he gets big reward relative to risk. This

means that you get small reward relative to your risk. In the EURUSD, if you

are buying a strong breakout on the 5 minute chart and you enter on the fourth

bar of the breakout, your stop is below the low of this four bar rally, which

might be 50 pips (ticks) away.

Also, since you are entering late, the profit that remains in the trade is less, and

your reward might be only as big as your risk, instead of two or more times

greater than your risk. Some traders prefer high probability trades, and that is

mostly due to their personalities. Since they are going for high probability, the

reward is small, and they are therefore scalpers. The best scalpers can win on

90% of their trades. However, most successful traders cannot trade this

intensely long term and prefer to take trades where the reward is at least twice

as big as the risk. This means that they win about 40% of the time. Their initial

stops might get hit about 40% of the time, and the rest of the trades are small

losers and winners that mostly offset each other. Since the reward is at least

twice the risk, they have a solid mathematical approach to trading. This is the

type of approach that most traders should use. In general most of their entries

should be with stops, buying at one tick above the high of the prior bar and

putting a protective stop one tick below the bar, or shorting at one tick below

the low of the prior bar and putting the protective stop one tick above that bar.

I always want to see how the market responds when it reaches support and

resistance areas, and I devote a lot of time in the course explaining how to spot

the areas that the institutional computers will calculate as potential support and

resistance. In the example below, I highlighted several by drawing lines on the

chart.. Traders will take partial or full profits around support and resistance

orders and it is therefore important to know where they are.

Beginners should look for stop entries.

I think that one of the most important skills to develop is the ability to assess

the strength of buying and selling pressure. The highest probability trades

usually occur during breakouts, and if you can learn how to determine the

strength of a breakout and the likelihood of the trend continuing, you are giving

yourself a strong edge. For example, below is the same chart, but with green

circles highlighting reasonable long entries on the close of bars and red circles

highlight closes that are reasonable shorts as soon as the bar closes.

This is the same chart and it shows how more experienced traders can also

enter with market and limit orders.

Thank you for reading my *How To Trade Price Action* manual.

The next article is [The perfect setup when trading online?]

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Perfect trade setups

April 24, 2014 By Al Brooks

When traders start out learning how to trade online,

they have a sense that it must be hard to make money because they know they

are competing against the smartest people in the world. However, they hope

that there is a shortcut, some easy, perfect trade setup that might be too small

for Goldman Sachs or a hedge fund to bother trading, and they could use it to

make a living.

I occasionally get an email from a disheartened trader asking me what my best

setup is. When I respond that there is no best setup, I sometimes get an angry

response accusing me of selfishly keeping the best setups for myself out of fear

that I might kill the goose that is laying golden eggs for me. Nothing can be

further from the truth, as anyone who is familiar with my trading will tell you. I

do not hide anything because what separates profitable traders from those who

are not yet profitable is not a collection of secret, perfect setups. Instead, it is

simply that profitable traders have enough experience so that they can trade

correctly, using the same setups that everyone sees all day long.

They are simply better at deciding which side of the trade to take and how to

manage their trades. What frustrated traders do not yet understand is that

perfect trades cannot exist because an institution has to take the other side.

Remember, markets are created by institutions that need to be able to buy and

sell things, and no trade can take place unless there is a way for the buying

institution and the selling institution both to make money (usually by scaling

into trades or hedging in other markets). No trade can ever take place unless

there is an institution willing to take the other side. We individual traders are

just too small to be of any significance, and we can never get filled on any trade

unless there is one or more institutions entering at exactly the same price and

trading in our direction (and other institutions taking the opposite side, trading

in the opposite direction). If you want to take a trade that has a high probability

of a big profit with very little risk…guess what? No institution will take the

opposite side and accept a trade with a high probability of a big loss and while

going after a small profit.

Let’s get real. It is a market and there are smart people on both sides and the

current price is what both sides feel is fair. It doesn’t matter if you see some

convincing guy on television saying it is cheap. There is an equally smart guy

whom you do not see who believes the opposite. Because of this, the edge that

even the best traders have is always going to be small and trading profitably is

always going to be difficult. It is unfortunate that so many sites make it sound

so easy…all you have to do is spend a week or two memorizing some

candlestick patterns and you will be rich!

In your heart, you know that this cannot be true, but you hope that it is

because you feel entitled to at least a small part of the pie; you want a sign that

you are lovable and not insignificant, and that the big boys and girls are going

to include you in their game. Is it too much to ask for just a little profit,

especially if you are willing to work hard and follow some trading rules that a

trading expert said would earn you $1,000 a day? Won’t Wall Street have some

sympathy for a beginner and share some crumbs? They might be crumbs to

Goldman Sachs, but they are big enough to give you a nice lifestyle. You are

being reasonable and are willing to promise to not take too much. You are a

good person and are appropriately deferential. Doesn’t Wall Street care, and

aren’t the firms willing to go easy on you so that you can make a living, even a

meager one?

Well, guess what? You are entitled to nothing, and that is just the way you want

it to be. To be able to fully trust the market, you need the game to be

completely fair with no one receiving special favors. You want the market to be

100% efficient and honest so that you can rely on it to give you consistent

profits once you become a good trader. And you don’t want to worry constantly

that your earning potential might some day be taken from you by a group of

powerful insiders who somehow rig the market to help their friends at everyone

else’s expense. That is why it is good to be entitled to nothing…it is true for all

of us and that’s what keeps the market reliable.

The “eat what you kill” foundation of the market is part of the appeal of online

trading, especially day trading. Humans are naturally competitive, and winning

in a difficult game is extremely satisfying…it makes you happy. Beating a 6 year

old at golf is not any fun, but beating Tiger Woods feels great! Every dollar that

you make comes from someone else, and you have no right to his money unless

you trade better than he does. You have to earn it through excellent work;

working “hard” to learn some patterns is not enough to convince a smart

institutional trader that you deserve some of his money.

As humans, we are hopeful and trusting. However, I think that it is an abuse of

trust to make trading sound easy. Trading profitably is very difficult and takes

lots of hard work, and persistently good trading. You don’t have to be great, but

you do have to be consistently good, which is much more difficult than it

sounds.

Thank you for reading my *How To Trade Price Action* manual.

The next article is the My setup for 5 minute charts and daily charts.

My setup for day trading

May 17, 2014 By Al Brooks

My setup for day trading the 5 min Emini has 20 bar exponential moving

average. In addition to the 5 minute 20 bar EMA, I also have both the 15 and

60 minute 20 bar EMAs written in a way that allows me to plot them on the 5

minute chart (I have the Trade Station EasyLanguage code below).

Although it might be hard to believe, I only use a single 13″ laptop that has

TradeStation for charting and software from another broker for my price action

trading setup. A trader does not need any more than this to make money. Just

print out a 5 minute chart of any market at the end of the day and you will see

many trades. With experience, you might see potential trades on almost every

bar on the chart! During 99% of the day, I am looking at a single 5 minute

chart, which is usually the Emini, but I also sometimes trade Forex markets,

bond futures, crude oil, natural gas, stocks, and options. I sometimes look at 60

minute, daily, weekly, and monthly charts. I have a second laptop that I use for

my BrooksPriceAction.com Trading Room and it additionally has thumbnail

windows of the 15 and 60 minute Emini charts, which I use for teaching

purposes in the chat room.

It does not matter what type of chart a trader uses. Some prefer charts based

on time and others prefer charts based on ticks, volume, or other factors, but it

does not matter because they all show the same thing. What type of chart is a 5

minute chart? It is usually incorrectly called a price chart. All two dimensional

charts have at least two dimensions. The dimensions are variables and both

contribute to a trend. Although a trend cannot be present without price

movement up or down, in some trends, time can be more important than price,

especially early on. For example, it is common to see a bear flag continue to

pull back higher and higher, and then suddenly break out to the upside. The bull

began at the bear low, but the first 5 to 10 bars of the bull were weak and were

more likely part of a bear flag.

I use a 20 bar exponential moving average on my intraday charts. On my 5

minute charts, I also plot the 20 bar exponential moving averages from the 15

minute and 60 minute charts as well because the market often treats them as

support and resistance (I think that the 60 minute is much more important).

With High Frequency Trading firms getting so much press because some are

incredibly profitable, there is a tendency among traders to move toward smaller

and smaller time frame charts. I have noticed that there are several people

promoting these charts as a way for traders to make money. I strongly believe

that most traders will only lose and never win long-term if they use very small

timeframes. I address the reasons in the course, but the most fundamental one

is that these charts do not give traders enough time to think clearly and they

end up making too many mistakes. A 5 minute chart is a good place to start,

and I recommend avoiding any chart where there are more than 20 bars per

hour.

Day session or 24 hour charts?

It is simply a personal preference. I have traded online years ago with many

successful traders who used 24 hour charts. They liked to take some trades

before the day session opened, and they liked the feeling of being a part of the

world’s 24 hour market. It works and they are happy with their choice.

I enjoy imagining myself as somehow tied to the stock market, which is the

world’s financial epicenter, and the day session obviously mirrors it exactly.

Also, I rely heavily on trend lines, and I believe that trend lines in the day

session are more accurate because there is so much dead time overnight. I

don’t want to weight those hours equally with the day session hours because

there is far less participation. I think they are less important. If I were trading a tick chart, it would not matter because those light volume hours would be

compressed. However, on a 5 minute chart, 1 hour at 2 am occupies as much of

the screen as an hour during the day, yet it is far less significant. Finally, I am a

minimalist and do not want to watch more than one chart. I already see about

50 trades a day on the day session 5 minute chart and I do not need to see any

more.

EasyLanguage for indicators

I wrote indicators in Trade Station’s EasyLanguage that very accurately plot the

15 and 60 minute EMAs on the 5 minute chart. **Note:** you will have to type the

code into TradeStation because the formulas below have hidden formatting

codes that prevent them from working within TradeStation if you simply copy

and paste them.

15 minute ema plotted on a 5 minute chart

```
Inputs: length(20);

If CurrentBar = 60 then Value1 = xaverage(C, 60);

If CurrentBar > 60 then begin

If Fracportion(time/15) = 0 then begin

value1 = value1[1] + (2 / ( Length + 1 )) * ( C – value1[1] );

Value2 = value1;

Plot1(value1, “15 min 20EMA”);

end

else begin

Value2 = value1 + (2 / ( Length + 1 )) * ( C – value1[1] );

Plot1(value2, “15 min 20EMA”);
```

end;end;

60 minute ema plotted on a 5 minute chart

Inputs: length(20);

If CurrentBar = 240 then Value1 = xaverage(C, 240);

If CurrentBar > 240 then begin

If Fracportion((time – 30)/100) = 0 or time =1315 then begin

value1 = value1[1] + (2 / (Length + 1)) * (C – value1[1]);

Value2 = value1;

Plot1(value1, “60 min 20EMA”);

end

else begin

Value2 = value1 + (2 / (Length + 1)) * (C – value1[1]);

```
Plot1(value2, “60 min 20EMA”);

end;end;
```

My Setup for Daily, Weekly, and Monthly charts

I sometimes have 50, 100, 150, and 200 bar simple moving averages on my

daily, weekly, and monthly charts, but rarely pay any attention to them when

deciding to place trades. Like all moving averages, they are often areas of

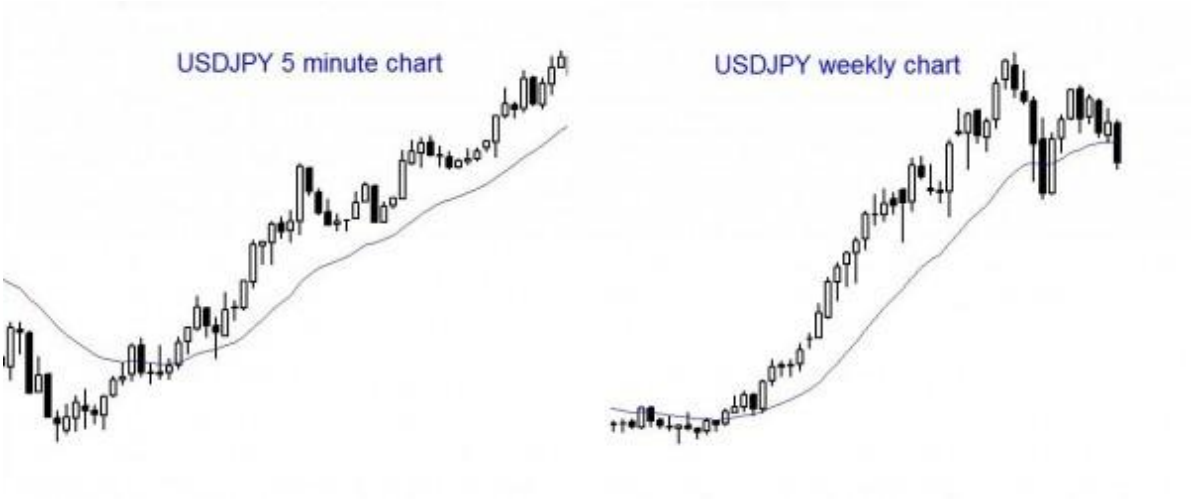
support and resistance, but I find other types of support and resistance to be

more reliable. I formatted them in the above image to be much thicker so that

you can more easily see them, but when I have them on my charts, they are

very faint because I don’t want to be distracted by something that I rarely use.

Trade all markets and time frames the same



How to trade different time frames in Forex foreign exchange…trade them the

same way!

One of the basic tenets of price action is that markets are fractal…if you remove

the axes, you cannot tell if the chart is a 5 minute, 60 minute, daily, weekly, or

any other type of chart. The charts simply represent human behavior, which is

genetically based and reflected on every chart, regardless of time frame. Price

action traders see all charts as the same and use the same techniques on all of

them, and you will, too, after you learn how to trade.

Are there just a couple of entries a day?

I often read posts about how to trade and the authors make it sound like you

can only take trades on a small percentage of the bars. Well, the institutions are

trading heavily on every bar, and if you want to make money, you have to copy

what they are doing. You will soon learn that there is usually a way to make a

profitable long trade and a profitable short trade at every moment, and that is

why there are institutions buying while others are selling all day long. Many are

trading for tiny profits and others are hedging and scaling in and out. All of this

is beyond what most individual traders should be doing, but there are far more

logical entries every day that what candle pattern sites would have you believe.

You do not need to take every trade, but each green arrow is a reasonable buy

entry and each red arrow is a good short.

Should you enter or exit on every bar as you day trade futures, foreign

exchange, or the stock market online? Obviously not, but be aware that there

are trading opportunities at every second of the day, not just when a certain

pattern is present. If you understand the market cycle, what the market is

doing at the moment, and how to structure and manage trades, you are in a

position to make a profitable trade at any time of the day.

I discuss techniques for entering at all phases of the market cycle. Most traders

feel comfortable with a particular approach and will not take trades during most

market conditions. We all have our own personality traits and each is better

suited for different environments. Part of our journey is to learn our comfort

zone and try to stay there when trading.

The course discusses entry and exit techniques, as well as money management,

for all parts of the market cycle, and I designed it to help you learn how to

trade.

Thank you for reading my *How To Trade Price Action* manual.

The next article is What size account do I need to trade?

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Trading account size

April 24, 2014 By Al Brooks

A Forex trader, especially a day trader, probably can

begin with a trading account size as small as $1,000. I have seen ads

suggesting that an Emini trader can make money by day trading only a $500

account. I think that is a mistake. A beginning trader will probably lose for at

least a year or two, although he will likely have many streaks where he wins

several days in a row. The reality is that most traders never become

consistently profitable. Common reasons are insufficient funds and the inability

to trade long enough to develop the skills needed to make money.

Many traders who stay with it long enough to become consistently profitable

look at the loss as tuition in the school of hard knocks. They know that they are

competing against professionals with degrees that prepared them to trade the

markets, and they are trying to collect enough experience to make them

competitive. It can be done, but it usually takes a long time to become very

good.

If a person is starting out with the Emini as he learns how to trade, he will

probably need at least $10-25,000. Even if he beings with $100,000 and wants

to trade the Emini, I think that he should only trade one contract until he is

consistently profitable. If he can only afford to lose $5,000 and he wants to day

trade, he should look at other markets, like a high volume stock or ETF under

$20 that has regular 20 cent swings; in January, 2013, possible candidates

included BAC, FAZ, and XIV.

Another reasonable alternative is to trade weekly SPY options, as I discuss in

the course. If a trader were to buy one ATM or slightly OTM put or call, the cost

is usually under a dollar and often under 50 cents. Even if he lost, the loss

would probably be less than 20 cents ($20, since each option is for 100 shares)

if he managed his trade reasonably well. This can keep the losses smaller while

the trader learns how to trade. So, how can he get rich if he is looking for $10 –

$20 profit per trade? He can’t, but that is not the goal. He is trying to hone his

skills by trading real dollars in real markets until he is consistently profitable. He

then can increase his volume and add other markets. At that point, his goal

changes from learning to trade to earning a living.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Trading position size.

Trading position size

April 24, 2014 By Al Brooks

A beginner is quick to do the math…“If I” make $100

a day with one contract, I will make $2 million a year with 100 contracts!” He is

too quick to think about trading big positions, and even when he starts out,

trading what he thinks is a small position, he is usually trading too big. How can

a beginner tell if his position size is too big? That’s easy. He just has to ask

himself, “Did I manage all of my trades today as I should have, or did I have

several trades where I exited too early because I was feeling nervous over how

much I would lose if my stop got hit?” If he did not manage correctly, then he

cared. He is trying to compete with computers who have no feelings and

certainly do not care about anything.

My recommendation is that traders should trade their “I don’t care” size.

Whatever a trader thinks it is, he should then trade 50 – 75% smaller so he

really won’t care if the trade goes against him. Over time, he can handle larger

positions while still not caring. If he increases too quickly, he can back off and

try to increase again later. When I tell traders this, some get angry and quickly

ask me how they can ever get rich trading so small. The answer is simple.

Successful traders don’t constantly think about getting rich, although many end

up that way.

Instead, they only think about doing the right thing all day long. That is the first

goal. They know that if they do, they will make money, which is the second

goal. Sometimes, they will make a lot of money, which is the third goal, but

they never worry or think about that. Remember, most successful traders are

not making $100 million dollars a year. However, many make far more than the

richest doctors and lawyers, and that is plenty to have a great life.

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There is one other point about position size. It should always be dictated by the number of ticks to your protective stop. If you normally trade $100,000 in a

Forex trade and risk 20 pips, but you want to buy a strong breakout and the

bottom of the breakout is 40 pips below the current price, you should trade half

only a $50,000 position. Also, if you bought $50,000, and the breakout

continued up for 40 more pips without a pullback, your stop is now 80 pips

below the current price.

Remember, your entry price is irrelevant. All that matters is where your stop is.

If you are now risking 80 pips and you normally risk only 20, you need to take

profits so that you can reduce your position to 25% of your usual size. In this

case, you would take profits on half of your position, leaving yourself with only

a $25,000 position. If there is a pullback followed by a buy signal, and the stop

for the new position is only 20 pips below, you can now have a $100,000

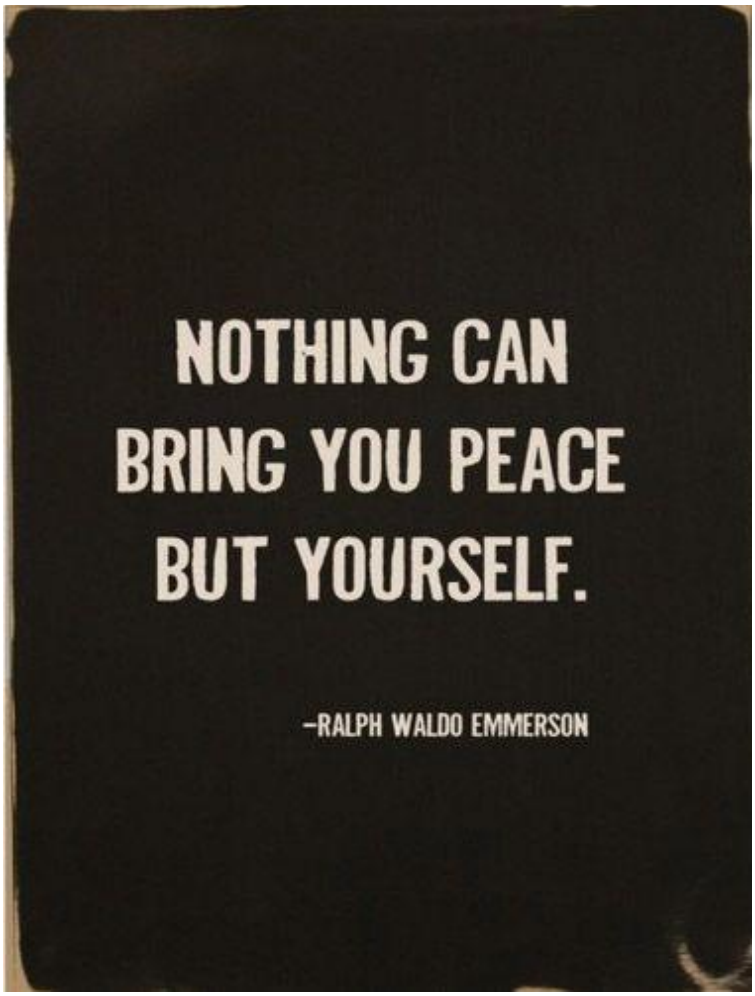
position, which means you can buy $75,000 more, and put the stop for the

entire position at 1 pip below the new signal bar, 20 pips below this latest entry

price.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Learn to manage your trades.



Trade management

May 17, 2014 By Al Brooks

How is it that Goldman Sachs can buy and Morgan

Stanley can sell and both make money? It is because they know how to manage

their trades…they have learned how to trade! They use complex strategies that

involve hedging and scaling into and out of trades, but the message here is

clear. Trade management is very important. You have to know how to place and

adjust protective stops and profit targets, how to scale out of a profitable trade,

and how to manage a losing trade. More experienced traders will also scale into

trades, whether the trade is going their way or against them. This is all much

more important that the ability to recognize a simple candle pattern and I

discuss this in the course.

Swing trading or scalping?

When a trader takes a trade, he has to know what his objectives are. When day

trading, he needs to decide if his trade will be a scalp or a swing. Most

beginners are drawn to scalping because of the idea that the stop is close and

therefore the risk is less. However, what they overlook is that they have to be

right 70% or more of the time to be consistently profitable, and they have to

maintain that for years. Very few traders can ever achieve that, and the result

is that most scalpers bleed to death from a thousand paper cuts (lots of small

losses).

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Most traders, especially beginners, should only swing trade, which I define as

going for a target that is at least twice as large as the potential loss. Remember

the Trader's Equation and the "40-60 rule". Since the probability of 90% of trades is between 40 and 60%, a trader who goes for a reward that is at least

twice as big as his risk is trading a mathematically sound approach. A good

start is to look for Major Trend Reversals. For example, if a trader is trading the

Emini and using a 2 point stop and a 4 point profit target, he will probably make

4 or more points on 40% of his trades and lose 2 points on another 40% of his

trades. The remaining 20% of trades will usually be small losses and wins that

offset each other. The result is a net profit and therefore a positive Trader's

Equation.

A trader often loses money because he takes a trade with one goal and

manages it as if he entered with a different goal. For day traders, this usually

happens because the trader entered, thinking he was going to hold for a swing,

but instead managed the trade like a scalp. For example, if he shorted the

EURUSD Forex market at what he thought was a strong top and was planning

on holding for a 100 pip (tick) profit while using a 20 pip protective stop but

instead always exited this type of trade whenever he had a 10 pip profit, he will

lose money over time. He might consistently convince himself that the price

action unfolded differently from what he expected, and this change in his

premise justified changing the trade from a swing to a scalp.

However, if he discovers that he is doing this with just about every trade, he

will lose money. This is because a swing trade usually has a low probability of

success, but the expected reward is many times greater than the risk and that

creates a positive Trader’s Equation. If he instead always accepts a profit that is

not many times bigger than his risk, he will lose money over time with low

probability trades, which most swing trades are.

If a trader always changes his mind and grabs a scalper’s profit, he is actually

scalping, even though he thought that he was swinging. Plug some numbers

into the Trader’s Equation. A typical swing setup has about a 40% chance of

success. If the trader is risking 10 pips to make 10 pips, he will lose money. To

make money on a scalp, a trader needs a high probability of success (60% or

more) because his reward is usually about the size of his risk. At any instant in

any market, a trader can trade profitably by buying or shorting for a swing

because the probability of success for a profitable long or short is rarely ever

less than 40%. This means that if he manages his trade correctly and holds for

a reward that is at least twice as large as his risk, he will make money over

time. Traders should only scalp if the probability is 60% or higher.

Most traders cannot consistently maintain this high a probability and therefore

should swing all of their trades (my definition of a swing is any trade where

your intended reward is at least twice as big as your risk). It is important to

note that some experienced scalpers win more than 90% of the time, but this is

rare, and usually involves scaling into and out of positions. Many experienced

traders scale into trades to greatly increase the probability of their position.

However, beginners should be very careful about this because they almost

always scale into the wrong trades. A common example is scaling into what

they believe is a pullback when they do not realize that it is actually a reversal.

They can quickly lose far more money than they imagined was possible, but

that makes sense…if you are trying to get more probability, you have to pay for

it with some combination of increased risk or reduced reward.

When discussing daily and weekly charts, traders usually refer to themselves as

traders or investors, rather than swing traders or scalpers, but the idea is the

same. An investor often takes low probability trades, which means that he

might lose 60% or more of the time. However, if his average reward is several

times greater than his risk, he will be profitable over time. A trader plans to

hold his trade for only a day to a week, and his is going for a small reward

relative to his risk. He can only do that if his probability is 60% or higher.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Scaling into trades.

Scaling into trades

May 10, 2014 By Al Brooks

You have heard of dollar cost averaging, which is a

widely accepted approach to investing. Guess what? It is a form of scaling into

trades! Scaling in simply means adding to your position. Traders can add to a

winning position or to a losing position, and they can do so either when they are

trading with the trend (scaling into trends) or against the trend (scaling into

reversals). Why would anyone ever scale into a trade? Because it increases the chance of making money.

However, because of the Trader's Equation, traders know that there is always a

trade-off among the three variables. If you are doing something to increase

your probability of making a profit, you have to pay for it with either a bigger

risk or a smaller reward. Most traders should not consider scaling into trades

until they are consistently profitable, and once consistently profitable, there is

no necessity to start scaling into trades. However, it is an option, especially for

traders who prefer high probability trades and are willing to give up some of

their reward-risk ratio to achieve it.

Scaling in increases probability.

If a trader bought the close of bar 1, thinking that there would be a second leg

up, even if there was a pullback, his protective stop would be below the bottom

of the breakout (the low of two bars earlier). He could increase the chances of a

profitable trade by scaling in below. If he likes to scalp for 20 pips, he should

scale in at least 20 pips lower. Depending on the price action that followed, he

could exit the entire position at bar 4 at his original entry, getting out

breakeven on his first entry and with 20 pips on his second, or he could swing

part or all, relying on his stop.

Scaling into a trend reversal.

There was a strong rally to bar 3 that broke above the bear trend line and the

moving average, making traders ready to buy a major trend reversal bottom on

a selloff that tested the bear low. There were also several moving average gap

bars there, which often lead to the final leg of a trend before a major trend

reversal. Bar 7 had a bull body, but it was small. However, the context was

good. It was a lower low major trend reversal, it followed the gap bars at 3 so

there was strong buying pressure, and there was a potential final flag (the tight

trading range at 6). It was acceptable to buy one tick above 7 on a stop. If

traders exited below bar 7, they would have bought again above the ever strong

bar 8 signal bar for a swing up. The market rallied 5 points, which is a swing.

Most major trend reversals lead to swings and then trading ranges, and not to

actual reversals into opposite trends.

Experienced traders who are comfortable scaling in would have added to their

position at the bar 7 low with a limit order, using a wide stop. Many traders feel

that they are not very good at picking the exact turning point, but trust their

ability to determine the approximate area of the turn. They then use wide stops

(for example, based on a measured move down or on a fixed number of points)

and trade small enough so that they can buy more lower (below bar 7 or below

any of the bars in the bar 9 tight trading range) or higher (above bar 8).

There was not much buying pressure at 5 and the signal bar was weak, even

though it followed a small low 2, which was a possible final flag.. This made

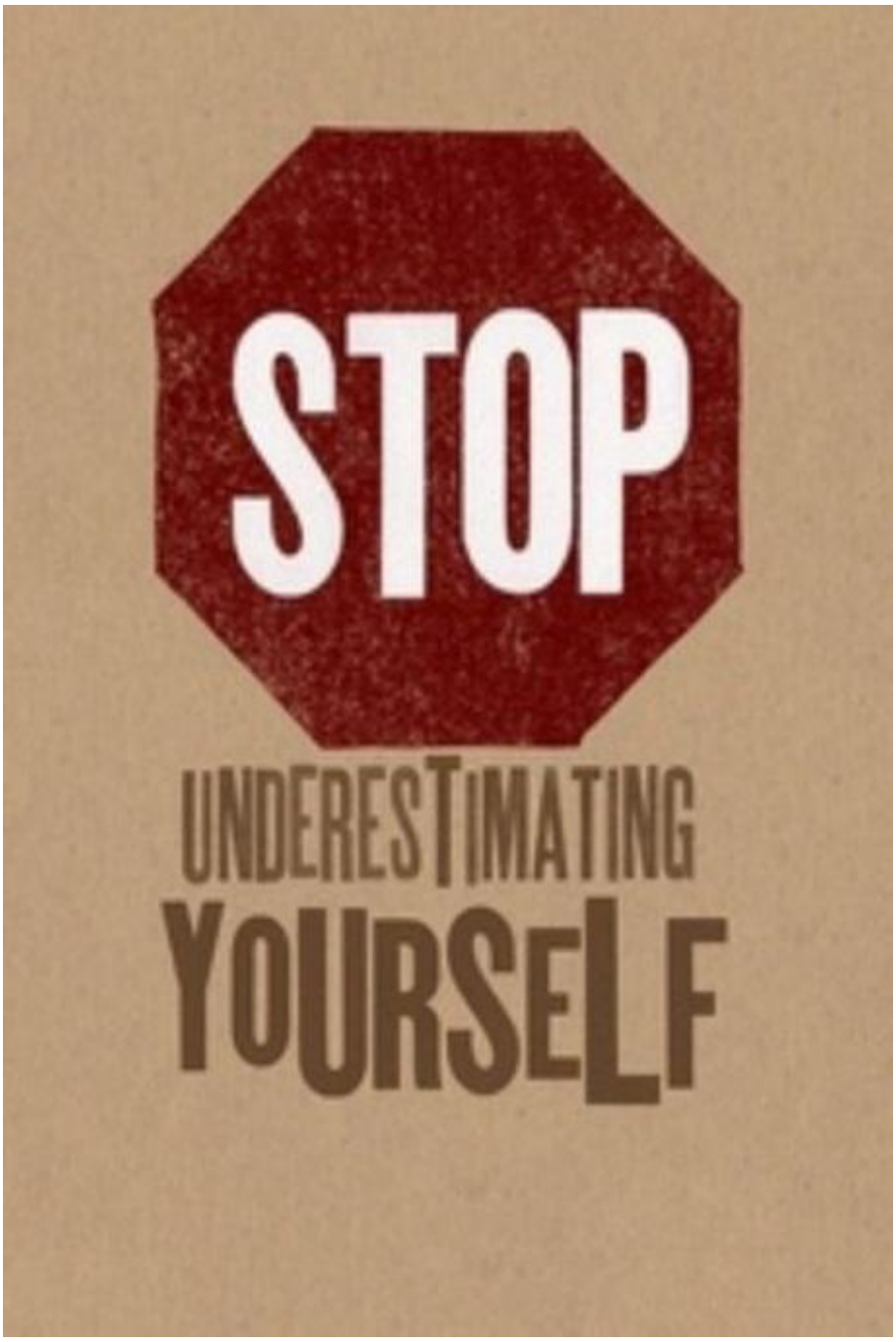
traders less confident and if they bought this higher low major trend reversal,

they probably would have exited below the bar 6 low 2 signal bar at the moving

average.

Thank you for reading my *How To Trade Price Action* manual.

The next article is Trading options (puts and calls).



Trading options (puts and calls)

May 10, 2014 By Al Brooks

Long a ago, a friend told me that she lost $500,000 in

her account overnight on a huge gap down on the next day. That day, she

decided to switch to trading options (puts and calls). Most of the time when I

hold any position overnight, I do so in the options market. Also, I usually only

use simple strategies, like buying puts and put spreads when I am bearish, and

buying calls and call spreads when I am bullish. I think that a good options

trader really does not need more complex strategies to make money, and a

beginner should avoid them. This is all that you need, especially if options

trading is not your full time business.

Too many pundits make options sound much more complicated than they are.

All a great trader needs are simple strategies and an understanding of price

action. Complex strategies and the Greeks are not necessary to trade options

well, and both can be a distraction from the most important reason for taking

any trade…what is happening on the chart. I make all of my trades entirely

based on price action, totally ignoring the fundamentals and the news, because

they are already incorporated in the stock price. I strongly believe that price

action should be the basis for all trading, even in the options market.

Whenever I hear traders on television talk about options trades, they always

discuss the price action. However, I cringe if they then talk about the

fundamentals, because they would never take the trade unless the price action

was good. If the price action was strong, they would take the trade regardless

of the fundamentals, but they always come up with some absurd fundamental

analysis to support what they were going to do anyway. I strongly believe that

the fundamental analysis that options traders discuss on television is ignorant

and irrelevant, and that they are really trading on price action alone, even

though they don’t realize it. I believe that they give a fundamental basis for

their trading because that is the tradition among options traders and because

they believe that it makes them sound more credible…it is good T.V.! This

increases the chances that they will be invited back, which increases the

chances that they will get more customers in whatever options related business

they conduct.

When YHOO is in a strong bull trend on the daily chart, buy calls or call spreads

on pullbacks.

I also day trade options, usually when markets are moving far and fast. For

example, if the Emini is down 20 points, but I think it is forming a consecutive

sell climax and is likely to rally, I will buy weekly calls in the SPY. On big down

days like that, I have learned over the years that bad things can happen, like

brokers having trouble executing trades. Trading options is a good way for me

to minimize risk, while still allowing me the opportunity to profit on the

expected rally.

The next article is Market psychology and the importance of happiness.

Trading psychology

May 10, 2014 By Al Brooks

Market psychology has more to do with behaviors that

you can change than it does with therapy. If you are going to be doing this for a

long time, you have to enjoy it. I love my job and have for 27 years, and I still

look forward to trading every day. Although you might be able to make more

money by pushing yourself to your emotional and physical limits, you will

probably hate what you are doing and be unable and unwilling to do it for

decades.

Life is short and I don’t want to waste it on misplaced priorities. Your happiness

and that of your family are far more valuable than that extra dollar. An

important part of learning how to trade is finding a style of trading that is right

for you. Don’t worry if you see a successful trader on television who is doing

something entirely different and making a fortune.

Traders often take years to discover and accept their comfort zones as they

learn how to trade. Some prefer to take trades with a high probability of

success, which is fine, but they understand that there is a trade-off. High

probability trades usually have a relatively low profit potential compared to risk.

Other traders want a reward much bigger than the risk, and they don’t care that

this means that they will be taking trades that will lose most of the time. They

know that if they manage their trades well and go for a reward that is two or

more times greater than their risk, they will make money even if they lose

money on 60% of their trades.

The “I don’t care” position size

As traders, we swim in a sea of uncertainty, and until you can free yourself from

emotion, it is impossible to follow what the institutional computers are doing,

and you can only make money if you do. When you decide to take a trade, be

honest about just how far away your stop has to be, which often creates a

greater risk than you want. You have to trade a small enough position size so

that you really don’t care very much if you win or lose…the “I don’t care” size.

This gives you the best chance at remaining objective when you enter and exit

your trade.

A beginner is quick to do the math…“If I” make $100 a day with one contract, I

will make $2 million a year with 100 contracts!” He is too quick to think about

trading big positions, and even when he starts out, trading what he thinks is a

small position, he is usually trading too big. How can a beginner tell if his

position size is too big? That’s easy. He just has to ask himself, “Did I manage

all of my trades today as I should have, or did I have several trades where I

exited too early because I was feeling nervous over how much I would lose if

my stop got hit?” If he did not manage correctly, then he cared. He is trying to

compete with computers who have no feelings and certainly do not care about

anything.

My recommendation is that traders should trade their “I don’t care” size.

Whatever a trader thinks it is, he should then trade 50 – 75% smaller so he

really won’t care if the trade goes against him. Over time, he can handle larger

positions while still not caring. If he increases too quickly, he can back off and

try to increase again later. When I tell traders this, some get angry and quickly

ask me how they can ever get rich trading so small. The answer is simple.

Successful traders don’t constantly think about getting rich, although many end

up that way. Instead, they only think about doing the right thing all day long.

That is the first goal. They know that if they do, they will make money, which is

the second goal. Sometimes, they will make a lot of money, which is the third

goal, but they never worry or think about that. Remember, most successful

traders are not making $100 million dollars a year. However, many make far

more than the richest doctors and lawyers, and that is plenty to have a great

life.

The Trader’s Equation and the 40-60 Rule

Most traders, especially beginners, should only swing trade, which I define as

going for a target that is at least twice as large as the potential loss. Remember

the Trader’s Equation and the “40 – 60 rule”. Since the probability of 90% of 106

trades is between 40 and 60%, a trader who goes for a reward that is at least

twice as big as his risk is trading a mathematically sound approach. A good

start is to look for Major Trend Reversals. For example, if a trader is trading the

Emini and using a 2 point stop and a 4 point profit target, he will probably make

4 or more points on 40% of his trades and lose 2 points on another 40% of his

trades. The remaining 20% of trades will usually be small losses and wins that

offset each other. The result is a net profit and therefore a positive Trader’s

Equation.

Avoid confusing swings and scalps!

A trader often loses money because he takes a trade with one goal and

manages it as if he entered with a different goal. For day traders, this usually

happens because the trader entered, thinking he was going to hold for a swing,

but instead managed the trade like a scalp. For example, if he shorted the

EURUSD Forex market at what he thought was a strong top and was planning

on holding for a 100 pip (tick) profit while using a 20 pip protective stop but

instead always exited this type of trade whenever he had a 10 pip profit, he will

lose money over time. He might consistently convince himself that the price

action unfolded differently from what he expected, and this change in his

premise justified changing the trade from a swing to a scalp.

However, if he discovers that he is doing this with just about every trade, he

will lose money. This is because a swing trade usually has a low probability of

success, but the expected reward is many times greater than the risk and that

creates a positive Trader’s Equation. If he instead always accepts a profit that is

not many times bigger than his risk, he will lose money over time with low

probability trades, which most swing trades are.

If a trader always changes his mind and grabs a scalper’s profit, he is actually

scalping, even though he thought that he was swinging. Plug some numbers

into the Trader’s Equation. A typical swing setup has about a 40% chance of

success. If the trader is risking 10 pips to make 10 pips, he will lose money. To

make money on a scalp, a trader needs a high probability of success (60% or

more) because his reward is usually about the size of his risk. At any instant in

any market, a trader can trade profitably by buying or shorting for a swing

because the probability of success for a profitable long or short is rarely ever

less than 40%. This means that if he manages his trade correctly and holds for

a reward that is at least twice as large as his risk, he will make money over

time. Traders should only scalp if the probability is 60% or higher.

Most traders cannot consistently maintain this high a probability and therefore

should swing all of their trades (my definition of a swing is any trade where

your intended reward is at least twice as big as your risk). It is important to

note that some experienced scalpers win more than 90% of the time, but this is

rare, and usually involves scaling into and out of positions. Many experienced

traders scale into trades to greatly increase the probability of their position.

However, beginners should be very careful about this because they almost

always scale into the wrong trades. A common example is scaling into what

they believe is a pullback when they do not realize that it is actually a reversal.

They can quickly lose far more money than they imagined was possible, but

that makes sense…if you are trying to get more probability, you have to pay for

it with some combination of increased risk or reduced reward.

Good is good enough

Find out who you are and be happy that you can do all that you can do. A

baseball player does not have to be a home run hitter to get in the Hall of

Fame. If he consistently hits lots of singles, he will get there. You do not have

to be the best to be rich, but you have to be happy, consistent, and disciplined

to achieve your goal.

Thank you for reading my *How To Trade Price Action* manual.